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AN EXPERIMENTAL DATA REPORT

The Postcode Penalty
New Zealand's Poverty Baseline 2026

169,300 children in material hardship — a 10-year high — and why a child's address and ethnicity, not the national average, decide who goes without. State of play, 31 May 2026.

⚠ **Experimental — proof of concept.** This report is an **experiment** in AI-assisted, automated data analysis and report generation by thecolab.ai. It was produced rapidly by an AI multi-agent pipeline and has **not been peer-reviewed or verified by subject-matter experts**. Treat it as a demonstration of the tooling — not an authoritative source on New Zealand poverty. Always check figures against the original Stats NZ and other official sources before relying on them.

Executive summary

- One in seven tamariki (169,300; 14.3%) are in material hardship — a 10-year high — with 71,000 (6.0%) in severe hardship, up from 4.0% in 2022. Hardship is concentrated, not random: Pacific 31.0%, Maori 25.1%, disabled-household children 27.5%, versus European 11.5% and Asian 5.9%.
- Work is no longer a reliable exit: a record 409,575 working-age people draw a main benefit (12.7%), roughly six in ten poor children have a working parent, and both benefits and minimum-wage work fall short of CPAG's basic income floor by $100–$300 a week.
- Housing is the poverty multiplier. After-housing-costs child poverty (210,600) runs far above the before-housing-costs measure (148,700) — roughly 62,000 children are poor purely because of housing costs — while 112,496 people are severely housing-deprived and 769,954 households need a rent top-up.
- Cost-of-living pressure is compounding: electricity is up 12.5% (the largest contributor to 3.1% CPI and the highest since 1989), meat/poultry/fish up 7.8%, ~1 in 3 households are food-insecure and energy-hardship-affected, and foodbanks feed 165% more people than pre-pandemic.
- A non-cyclical 'hard core' of ~101,600 children is simultaneously low-income AND in hardship; 697,000 New Zealanders face sustained multi-domain disadvantage. This pool does not move with the economic cycle and repeats across generations.
- The poorest pay the most: the poverty premium means prepay power costs 11–17% more per unit, electricity eats 7.5%+ of the poorest households' income (vs under 1.5% for the richest), and high-cost credit can lawfully double the price of a basic appliance.
- Poverty is spatially pooled: by design decile 10 is the most-deprived ~10% of small areas, six districts have over half their population in deciles 9–10, and identifiable suburbs in South Auckland, Porirua, Christchurch, Hastings and Whanganui cluster there.
- Budget 2026 leaves the anti-poverty architecture treading water: the in-work tax credit rose $50/week but excludes beneficiary children, 48,000 more children fell into poverty over three years, and Treasury concedes it will miss all but one of its 2027 child-poverty targets.

The evidence converges on one conclusion: New Zealand's poverty is no longer primarily a question of how many are poor, but of who, where, and how deeply. It is pooled by postcode and ethnicity — by design, the worst-off ~10% of small areas always sit in the most-deprived decile, and entire towns plus South Auckland, Porirua and provincial North Island suburbs cluster there. Within that geography, housing costs are the dominant multiplier, the poverty premium extracts a surcharge from those least able to pay, and a non-cyclical hard core of roughly 101,600 children is being handed down across generations. A growing economy alone will not reach them.

The policy verdict is blunt. Budget 2026's flagship move — a $50/week in-work tax credit lift — structurally excludes the very children most likely to be in the hard core, because it remains work-gated while ~60% of poor children already have a working parent and the deepest hardship sits with beneficiary and sole-parent families. Treasury's own concession that it will miss all but one 2027 target, and the 48,000 additional children in poverty over three years, confirm that current work-conditioned tools are not moving the baseline. Cost of living tops every poll (~61%), yet the architecture is treading water.

What would move it is known and largely undisputed in the evidence: restore wage-indexation and lift benefit adequacy toward the WEAG benchmark; extend the in-work/Working for Families child credits to beneficiary children; and grow income-related-rent social housing to close the after-housing-costs gap. These are the levers that plausibly reach the 2027/2028 targets; the rest cushion hardship but cannot substitute for income and housing adequacy.

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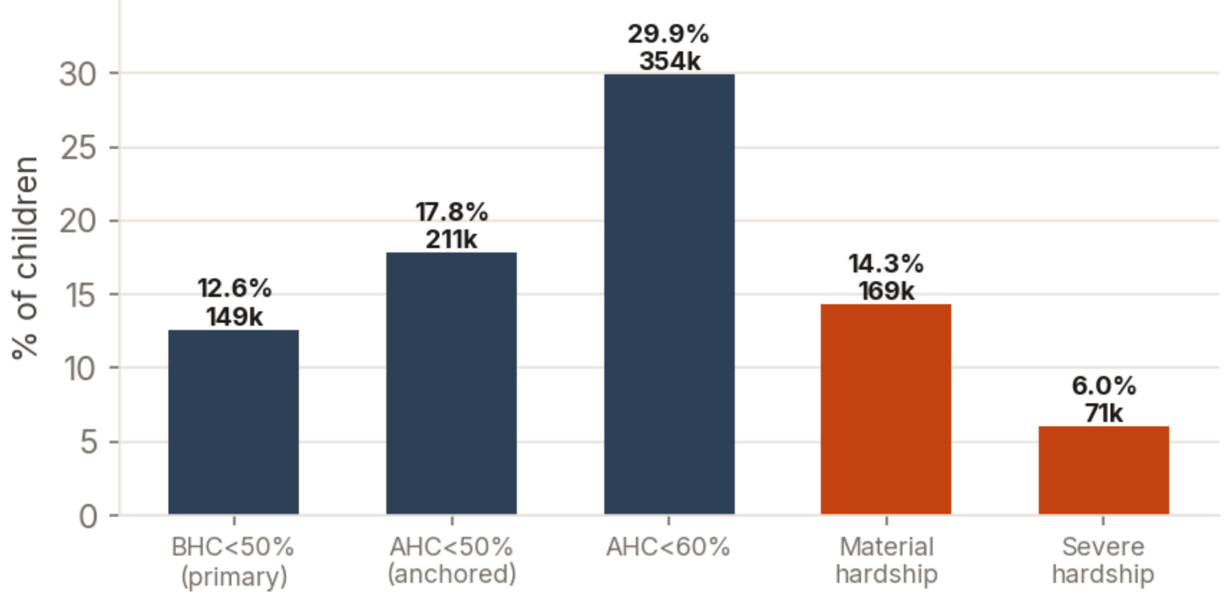
The baseline: poverty in Aotearoa today

As at 31 May 2026, New Zealand's poverty baseline is defined by concentration and entrenchment rather than breadth. The headline measure — child material hardship (DEP-17, lacking 6+ of 17 essentials) — sits at 14.3%, or 169,300 children, a 10-year high, with 71,000 (6.0%) in severe hardship, up from 4.0% in 2022. On a 3.7-percentage-point rise since the 2022 low, roughly 44,000 more children have fallen into hardship. The anchored after-housing-costs income line captures 210,600 children (17.8%), well above the 148,700 on the before-housing-costs measure — the gap is housing cost, made visible. Crucially, the burden is not evenly spread: Pacific (31.0%), Maori (25.1%), disabled-household (27.5%) and sole-parent children carry multiples of the European (11.5%) and Asian (5.9%) rates. Nearly 80% of the lowest-income households are sole-parent families living on under $46,000 disposable income.

The macro backdrop tightens the screws. CPI inflation is 3.1% (RBNZ forecasts above 4% this year on an oil shock), GDP growth has near-stalled at 1.3%, unemployment is 5.3% (youth 15–19 at 24.9%), the OCR sits at 2.25% but is signalled to rise, and the Crown runs an $11.4b deficit. Around 608,300 households (~33% of the ~1.86m survey-responding households) report their income is not adequate for everyday needs. Benefit caseloads are climbing across the board — 409,575 on a main benefit, including 215,214 on Jobseeker Support, 81,531 on Sole Parent Support and 108,498 on Supported Living Payment — even as work fails to guarantee escape.

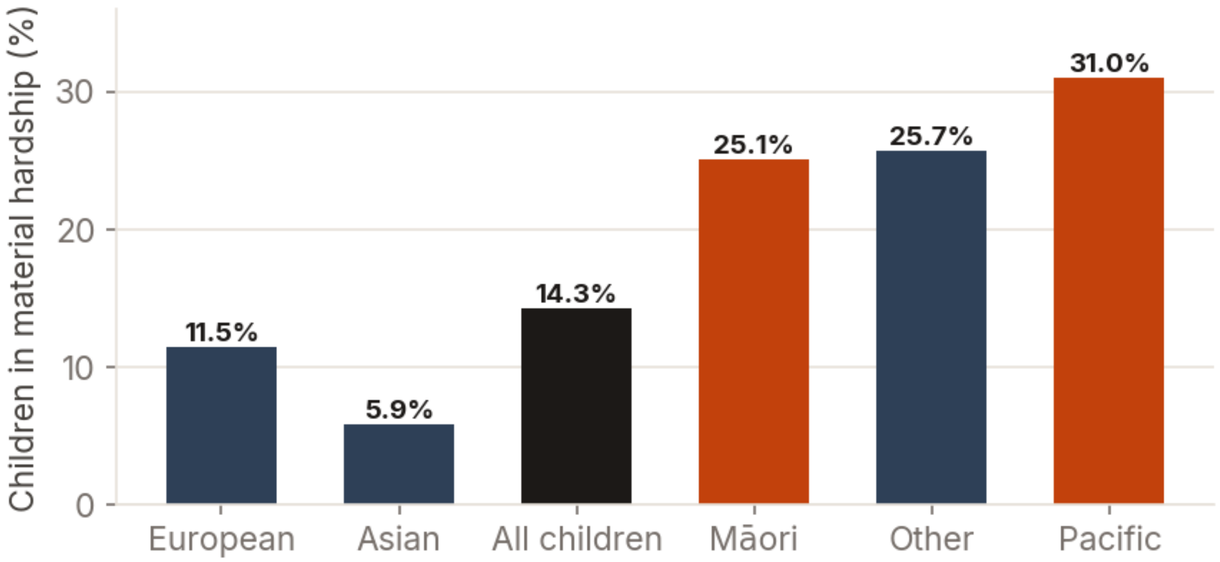
Beneath the annual statistic is a structural floor of suffering: ~101,600 children are both low-income and in hardship (the 'hard core'), 697,000 New Zealanders face sustained multi-domain disadvantage, and average continuous time on the Jobseeker health/disability stream is 223 weeks (over four years). This is the cohort that does not move with the cycle and tends to repeat across generations.

The official measures



The Child Poverty Reduction Act measures for the year ended June 2025 (Stats NZ). Material hardship counts children going without 6+ of 17 essentials; severe hardship 9+.

Hardship is not shared evenly



Children in material hardship by ethnicity (Stats NZ). Pacific and Māori children are two to three times more likely to be in hardship than the national average.

The drivers, ranked

1. Income inadequacy and benefit indexation drift. The binding constraint. Benefits and minimum-wage work fall $100–$300/week short of CPAG's basic income floor; support has not kept pace with living costs (especially housing) since 2021. Hardship measures respond to disposable cash, so this driver sits upstream of food, energy and housing deprivation alike — and is the only lever that plausibly hits the missed 2027/2028 targets.

2. Housing costs (the poverty multiplier). AHC child poverty (210,600) far exceeds BHC (148,700) — roughly 62,000 children are poor purely because of housing costs. 112,496 are severely housing-deprived and 769,954 households need a rent top-up. Each IRRS place removes one household's after-housing-costs gap almost entirely, but net social-housing supply is flat-to-negative, so the realised effect is currently near zero against high structural potential.

3. Ethnic, disability and family-structure concentration. Poverty is concentrated, not random. Pacific (31.0%), Maori (25.1%), disabled-household (27.5%) and sole-parent children carry multiples of European (11.5%) and Asian (5.9%) rates; nearly 80% of the lowest-income households are sole parents on under $46,000. Any lever that ignores this distribution will miss the people who most need it.

4. Cost-of-living shock in essentials (energy and food). Electricity up 12.5% (largest CPI contributor, highest since 1989), meat/poultry/fish up 7.8%, ~1 in 3 households food-insecure and in energy hardship, foodbanks up 165% on pre-pandemic. Benefits indexed to headline CPI (3.1%) lag the steeper inflation the poor actually face, eroding real adequacy faster than the income line suggests.

5. Spatial pooling (the postcode penalty). NZDep is relative, so the worst-off ~10% of areas always sit in decile 10; six districts have over half their population in deciles 9–10. Deprivation co-locates with cold/damp homes, thin transport, closed GP books and council-thinned free services

— a child's address, not the national average, largely decides outcomes, and concentrates every other driver geographically.

6. The intergenerational hard core. ~101,600 children are both low-income and in hardship and 697,000 face sustained multi-domain disadvantage — a pool that does not move with the cycle (223 weeks average on the Jobseeker health/disability stream) and repeats across generations. Cyclical recovery and one-off transfers leave it largely untouched; only durable income, housing and earnings-pathway change shifts it.

7. The poverty premium. The poorest pay the most: prepay power costs 11–17% more per unit, electricity eats 7.5%+ of their income (vs under 1.5% for the richest), high-cost credit can lawfully double an appliance's price, and ~$2.6b in MSD debt plus default deductions strip $20–$40/week before food and power. This actively deepens hardship for households already below the line.

8. Health and transport access barriers. Cost and distance ration essentials: 1 in 7 adults skips the GP on cost (Pacific 25.1%), half of practices have closed books (~290,000 unenrolled), 159,000 miss a GP visit for lack of transport, and the poorest fifth spend ~20% of income getting around. These entrench a health-poverty cycle — Maori in deprived areas lose 7.4 years of life — and compound, rather than originate, deprivation.

The drivers in depth

1. Child Poverty & Hardship Baseline

confidence 8/10

One in seven NZ children (169,300; 14.3%) are now in material hardship — a 10-year high — and the sharp over-representation of Māori, Pacific, disabled and sole-parent tamariki shows poverty is concentrated, not random

14.3% / 169,300 children (10-year high; CI 13.1–15.5%)
Children in material hardship (DEP-17, 6+ items lacking)
Stats NZ Child poverty statistics YE June 2025 (child-poverty-nz MCP, latest)

6.0% / 71,000 children (subset of material hardship)
Children in severe material hardship (9+ items lacking)
Stats NZ YE June 2025 (child-poverty-nz MCP, MEASI)

12.6% / 148,700 children
Children below BHC<50% (moving line)
Stats NZ YE June 2025 (child-poverty-nz MCP, MEASA)

17.8% / 210,600 children
Children below anchored AHC<50% (fixed base-year line)
Stats NZ YE June 2025 (child-poverty-nz MCP, MEASB)

Pacific 31.0%, Māori 25.1% vs European 11.5%, Asian 5.9%
Material hardship by ethnicity (Pacific / Māori vs European / Asian)
Stats NZ YE June 2025 (child-poverty-nz MCP, MEASC by ethnicity)

27.5% (100,200) in disabled households vs 8.4% in non-disabled; disabled children 26.9%
Material hardship by disability (disabled vs non-disabled household)
Stats NZ YE June 2025 (child-poverty-nz MCP, MEASC by disability)

10.6% (2022) → 14.3% (2025); ~47,500 more children
Rise in material hardship since 2022 low
Stats NZ YE June 2025 (child-poverty-nz MCP, national MEASC); CPAG

Nearly 80%, on average disposable income under $46,000

Lowest-income households that are sole-parent families

Stats NZ Child poverty statistics YE June 2025 release commentary

Who bears it. In the year ended June 2025, 14.3% of NZ children (169,300; CI 13.1–15.5%) lived in material hardship (DEP-17, lacking 6+ of 17 essentials) — the highest rate Stats NZ has recorded since the series began in 2013, up from a 10.6% low in 2022 (an extra ~47,500 children). Of these, 6.0% (71,000) were in SEVERE material hardship (lacking 9+ items). On income, 12.6% (148,700) of children fell below 50% of median income before housing costs on the moving line (BHC<50%), while 17.8% (210,600) fell below the anchored after-housing-costs line (AHC<50%, fixed to a base year). None of the three primary measures moved significantly year-on-year, so progress has stalled well short of the 2027/28 legislated targets (material hardship 6.0%; BHC<50% ~10%; anchored AHC<50% ~15%). Source: Stats NZ Child poverty statistics: Year ended June 2025 (via child-poverty-nz MCP, `latest` and `national` commands).

Material hardship is the lived-experience core of NZ poverty: it captures children whose families cannot afford basics — putting off doctor visits, going without fresh fruit and vegetables, unable to keep the home warm, no good shoes. At 14.3% (169,300 children) it is now at a decade high, climbing from 10.6% in 2022 through 12.6% (2023) and 13.5% (2024) to 14.3% (2025) — roughly 47,500 more children in hardship than in 2022 (Stats NZ, child-poverty-nz `national --measure MEASC`). Severe hardship (MEASI, 9+ items, 6.0%/71,000) is a strict subset of this. The combined low-income-and-hardship measure (MEASJ) stands at 8.6% (101,600) — children facing both an income shortfall and material deprivation at once.\n\nThe two income measures tell different stories by design. The moving BHC<50% line (MEASA, 12.6%/148,700) tracks contemporary median income, while the anchored AHC<50% line (MEASB, 17.8%/210,600) holds a fixed 2017/18 real-income threshold and counts housing costs — so it captures absolute living standards more directly and, here, a larger share of children. The anchored line is barely changed (-0.4pp) and remains above its 2021–22 lows, signalling that post-COVID gains have largely unwound. (The like-for-like moving AHC<50% measure, MEASG, sits higher again at 21.5%.)\n\nThe burden is starkly uneven. By ethnicity, material hardship hits Pacific children at 31.0% (54,400) and Māori at 25.1% (76,900) — about double the all-children rate of 14.3% — versus 11.5% European and 5.9% Asian (child-poverty-nz `breakdown --measure MEASC --by ethnicity`). Severe hardship follows the same gradient: Pacific 14.9%, Māori 12.2%, European 4.7%, Asian 1.1% (MEASI). Disability is sharper still: children in a household with a disabled member face a 27.5% hardship rate (100,200 children) versus 8.4% in non-disabled households — and disabled children themselves are at 26.9% versus 12.7% for non-disabled children (`breakdown --measure MEASC --by disability`). Family structure compounds this: nearly 80% of the lowest-income households are sole-parent families, on average disposable income under $46,000 (Stats NZ release commentary). Notably, the anchored income measure reorders the ethnic pattern — Asian children show 23.3% and European 15.2% AHC<50% — a reminder that income poverty and material deprivation are related but distinct, with hardship capturing the day-to-day deprivation of Māori and Pacific whānau more directly.

Why it drives poverty: This dimension is poverty in lived terms: material hardship measures what families actually go without, not just where an income line falls. It both drives and reveals entrenched disadvantage — hardship clusters in beneficiary and sole-parent households, disabled households, and Māori and Pacific communities, the same groups carrying low and insecure incomes, high housing-cost burdens and benefit dependence. A decade-high hardship rate alongside stalled income measures shows NZ moving away from, not toward, its legislated 2028 targets, making child hardship the central evidence that poverty is structural and concentrated. Who bears it most: Pacific (31%) and Māori (25%) children, disabled children and children in disabled households (~27%), and sole-parent families on under $46k.

Drew on: child-poverty-nz (MCP run_skill: latest, national MEASB/MEASC, breakdown MEASB/MEASC/MEASI by ethnicity and disability), WebSearch (current Stats NZ

Sources: Stats NZ — Child poverty statistics: Year ended June 2025 (information release): https://www.stats.govt.nz/information-releases/child-poverty-statistics-year-ended-june-2025/; Stats NZ — No annual change in child poverty rates for year ended June 2025: https://www.stats.govt.nz/news/no-annual-change-in-child-poverty-rates-for-year-ended-june-2025/; Stats NZ — Child poverty statistics YE June 2025, downloadable CSV release (accessed via child-poverty-nz MCP skill): https://www.stats.govt.nz/assets/Uploads/Child-poverty-statistics/Child-poverty-statistics-Year-ended-June-2025/Download-data/child-poverty-statistics-year-ended-june-2025.zip; CPAG — Child material hardship rates climb to 10-year high (26 Feb 2026): https://www.cpag.org.nz/media-releases/child-material-hardship-rates-climb-to-10-year-high; RNZ — One in seven New Zealand children living in hardship, new data shows: https://www.rnz.co.nz/news/national/588006/one-in-seven-new-zealand-children-living-in-hardship-new-data-shows; Office of the Auditor-General — Child poverty (2025): https://oag.parliament.nz/2025/child-poverty/part1.htm

2. Income, Benefits & Work

confidence 8/10

Work no longer guarantees an escape from poverty: a record 409,575 working-age New Zealanders rely on a main benefit (12.7% of the working-age population, March 2026), both benefits and minimum-wage work fall short of a basic "income floor" by $100-$300 a week, and roughly six in ten poor children have a working parent.

409,575 (12.7% of working-age population), up 11,412 / 2.9% on March 2025; up 0.4pp on the year
Working-age people on a main benefit (end March 2026)
MSD Benefit Fact Sheets Snapshot, March 2026 quarter (published April 2026), Figure 1a

215,214, up from 209,838 in March 2025 and 187,986 in March 2024
Jobseeker Support recipients (end March 2026)
MSD Benefit Fact Sheets Snapshot, March 2026 quarter, Figure 1b

81,531, up from 79,341 (Mar 2025) and 76,338 (Mar 2024)
Sole Parent Support recipients (end March 2026)
MSD Benefit Fact Sheets Snapshot, March 2026 quarter, Figure 1b

108,498, up from 104,700 (Mar 2025); steadily rising every year since 94,368 in Mar 2021
Supported Living Payment recipients (end March 2026)
MSD Benefit Fact Sheets Snapshot, March 2026 quarter, Figure 1b

Single adult on Jobseeker/SLP: ~$100/wk short; sole parent, 3 kids, private rental: ~$200/wk short; couple on Jobseeker with 2 kids: $300+/wk short; minimum-wage couple with 2 kids in deficit even at 40hrs (rising to 60hrs by 2026)
Weekly shortfall below CPAG's basic 'income floor' (2025-26)
Child Poverty Action Group, 'Families below the Income Floor face growing crisis' (2025)

About 60% of children in poverty have a parent who works
Children in poverty with a working parent / in-work poverty
Save the Children / CPAG NZ commentary on Stats NZ child poverty statistics (Feb 2026)

CPI annual change 3.1% (March 2026 quarter, index 1339); benefits rose ~4.5% in April 2025 and were re-indexed in 2026, yet CPAG finds support has not kept pace with living (esp. housing) costs since 2021
Inflation vs benefit indexation
Stats NZ Consumers Price Index, March 2026 quarter (CPIQ.SE9A); CPAG (2025)

Unemployment 5.3% (163,000 unemployed); adult minimum wage rose to $23.95/hr on 1 April 2026 (+45c), lifting ~122,500 workers
Labour-market backdrop (March 2026 quarter)
Stats NZ Labour market statistics, March 2026 quarter; MBIE / Employment NZ minimum wage 2026

Who bears it. Inadequate income and benefit reliance fall hardest on sole-parent families, Maori and Pacific peoples, and disabled people. Sole-parent households have roughly three times the material-hardship rate of two-parent households, and Sole Parent Support recipients (81,531) are overwhelmingly women (Save the Children / CPAG, 2026). One in seven children are in material hardship overall, rising to one in four for tamariki Maori and disabled children and one in three for Pacific children (Stats NZ year-ended June 2025; CPAG/Save the Children commentary). Supported Living Payment reliance (108,498) ties poverty tightly to disability and chronic illness. Working families are exposed too: with about 60% of poor children having a working parent, in-work poverty from low wages and high rents now sits alongside benefit inadequacy.

Income, benefits and work is the engine room of poverty in Aotearoa, determining both how much money reaches households and whether work is a reliable route out. Three forces converge in 2026. First, benefit reliance is at a record high and rising: MSD's Benefit Fact Sheets Snapshot (March 2026 quarter) records 409,575 working-age people on a main benefit, 12.7% of the working-age population, up 11,412 (2.9%) on a year earlier and the highest March count in the published series (from 365,934 in March 2021). Jobseeker Support has climbed to 215,214 (from 187,986 two years prior), Sole Parent Support to 81,531, and Supported Living Payment to 108,498. The rise is partly cyclical, tracking unemployment at 5.3% (163,000 people, Stats NZ March 2026 quarter), but the SLP trend is structural. Second, benefits do not cover the basics. CPAG's longitudinal 'income floor' modelling finds a single adult on Jobseeker or SLP about $100/week short of basic and participation costs, a couple on Jobseeker with two children $300+/week short, and a sole parent with three children in a private rental roughly $200/week short, with deficits worsening into 2026 and reversing 2021 Wellbeing Budget gains. Although main benefits rose ~4.5% in April 2025 and were re-indexed in 2026, and CPI inflation has cooled to 3.1% (Stats NZ, March 2026), the cumulative gap since 2021, dominated by housing, has not closed. Third, work itself is failing as an exit. The adult minimum wage rose only 45c to $23.95/hr on 1 April 2026 (MBIE), and CPAG finds a minimum-wage couple with two children was already in deficit at 40 hours in 2025, with even 60 hours insufficient by 2026. The result is pervasive in-work poverty: about 60% of children in poverty have a working parent (Save the Children/CPAG). Adequacy fails on both arms of the system, the benefit floor and the wage floor, leaving Working for Families heavy lifting it cannot fully carry. Every figure here is from Stats NZ, MSD or CPAG.

Why it drives poverty: This dimension is arguably the proximate driver of measured poverty: income-poverty lines (Stats NZ AHC<50% anchored, 210,600 children) are defined directly by household disposable income net of benefits, wages and Working for Families, and material hardship (MEASC, 169,300 children lacking 6+ of 17 items) is the lived expression of income falling short of costs. The AHC income-poverty count (210,600) exceeds the material-hardship count (169,300), the expected pattern. Inadequate benefit rates and stagnant low wages set the income side of the equation; housing costs (covered elsewhere) consume it. The record benefit caseload both reflects a weak labour market and, because rates sit below the income floor, transmits poverty directly to the children of beneficiary and low-wage families. Critically, the in-work poverty finding (60% of poor children have a working parent) shows income inadequacy is not solved by employment alone, so the key policy levers, benefit indexation, Working for Families adequacy, minimum wage and abatement thresholds, all operate squarely within this dimension.

Drew on: mcp__nz-skills__run_skill

Sources: MSD Benefit Fact Sheets Snapshot, March 2026 Quarter (published April 2026) - https://msd.govt.nz/documents/about-msd-and-our-work/publications-resources/statistics/benefit/2026/benefit-fact-sheet-snapshot-march-2026.pdf; Stats NZ, Consumers Price Index: March 2026 quarter (series CPIQ.SE9A); Stats NZ, Labour market statistics: March 2026 quarter; Stats NZ, Child poverty statistics (year-ended June 2025); MBIE / Employment NZ, Minimum wage 2026; Child Poverty Action Group, 'Families below the Income Floor face growing crisis' (2025); Save the Children / CPAG NZ commentary on Stats NZ child poverty statistics (Feb 2026)

3. Housing & Homelessness

confidence 8/10

Housing costs are New Zealand's poverty multiplier: after-housing-costs child poverty (210,600) runs well above the before-housing-costs measure (148,700), 112,496 people are severely housing-deprived, and 769,954 households need a weekly rent top-up just to keep a roof.

12.6% / 148,700
BHC<50% child poverty
Stats NZ YE June 2025 (MEASA)

17.8% / 210,600
AHC<50% child poverty
Stats NZ YE June 2025 (MEASB)

112,496 (2.3%)
Severe housing deprivation, 2023 Census
Stats NZ

> **Who bears it.** Housing-driven poverty falls hardest on renters, sole-parent and large families, and Maori and Pacific children. Stats NZ's after-housing-costs measure (AHC<50%, anchored) puts 210,600 children in poverty against 148,700 on the before-housing-costs line (BHC<50%, moving) — a gap that signals how heavily housing costs weigh on low-income families, though the two measures use different baselines and are not a clean like-for-like subtraction (Stats NZ, YE June 2025). Material hardship for children is 31.0% for Pacific and 25.1% for Maori, against 11.5% for European children (Stats NZ, MEASC by ethnicity). The Accommodation Supplement reaches 769,954 recipients nationwide, heavily concentrated in high-rent, low-income areas: the Auckland region alone has 128,352 recipients drawing $18.9m/week, with South Auckland board areas (Manurewa 12,640; Otara-Papatoetoe 9,311; Mangere-Otahuhu 8,856) among the densest (HUD, Dec 2024). Severe housing deprivation (homelessness) reached 112,496 people, or 2.3% of the population, at the 2023 Census — up from 99,462 in 2018 (Stats NZ).

Housing is the master driver of New Zealand poverty because it turns a modest income gap into a deep one. Stats NZ measures child poverty both before and after housing costs, and the spread between the two is the clearest single signal: 12.6% of children (148,700) sit below the before-housing-costs line, while on the after-housing-costs measure 17.8% (210,600) fall below the poverty threshold once rent or mortgage is paid (Stats NZ, YE June 2025). The two figures rest on different baselines — one a moving line, one anchored — so the gap should be read as the scale of the housing-cost burden on low-income families, not a precise count of children that housing alone tips into poverty. Material hardship — going without basics like heating, fresh food, or a warm dry home — sits at 14.3% of children (169,300), with severe hardship at 6.0% (71,000); both are inseparable from housing, because rent is the bill that crowds out everything else (Stats NZ, MEASC/MEASI).\n\nThe pressure shows up across the system. The social housing register stands at 19,704 applicant households and is rising again (+2.1% year-on-year to 31 March 2026, MSD) — families assessed as in serious, unmet housing need. To keep low-income households housed in the private market at all, the state pays the Accommodation Supplement to 769,954 recipients at a cost of $84.9m every week (HUD, Dec 2024) — a structural subsidy that exists precisely because market rents (national median ~$595-$620/week in 2025, MBIE/Tenancy Services) far outrun low incomes. The picture is starkest at the bottom: 112,496 people, 2.3% of the population, were severely housing deprived (homeless) at the 2023 Census, up from 99,462 in 2018 (Stats NZ). The recent fall in emergency-housing motel use (3,141 households in Dec 2023 to 591 in Dec 2024) was presented as a target met early, but Auckland Council and media reporting through 2025 warned that visible, unsheltered homelessness rose as motels closed and the register turned back upward — the count moved, not necessarily the need.\n\nWho bears it most is unambiguous: Pacific children (31.0% in material hardship) and Maori children (25.1%) carry roughly double to triple the European rate (11.5%) (Stats NZ). Because Maori and Pacific households are far more likely to rent and to live in the high-deprivation, high-rent areas where the Accommodation Supplement is densest (notably South Auckland), the housing-cost penalty compounds existing income disadvantage. In lived terms: a sole-parent family on a benefit or low wage in Auckland facing a ~$600/week median rent can spend well over half its income on housing before food, power or transport — the same mechanism that lifts child poverty from 148,700 on the before-housing-costs measure to 210,600 after housing costs.

Why it drives poverty: Housing is the single largest structural amplifier of poverty in this report — the dimension that mechanically converts income inequality into material hardship. The wide gap between before- and after-housing-costs child poverty (148,700 vs 210,600) measures how much the housing market deepens disadvantage, even allowing for the two measures' differing baselines. It links the income/benefits dimension (rent crowds out food and power), the regional dimension (South Auckland Accommodation Supplement density), the ethnic-equity dimension (Maori and Pacific over-renting and over-hardship), and homelessness as poverty's most extreme expression (112,496 severely deprived). Any anti-poverty strategy that does not lower the housing-cost burden — through supply, the social-housing register, and rent affordability — leaves the master driver untouched.

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Sources: Stats NZ — Child poverty statistics: Year ended June 2025 (CSV release; measures MEASA/MEASB/MEASC/MEASI and ethnicity breakdown): https://www.stats.govt.nz/assets/Uploads/Child-poverty-statistics/Child-poverty-statistics-Year-ended-June-2025/Download-data/child-poverty-statistics-year-ended-june-2025.zip; Stats NZ — 2023 Census severe housing deprivation (homelessness) estimates (112,496 / 2.3%; 2018 = 99,462); MSD — Housing Register, March 2026 (19,704 applicants, +2.1% year-on-year); HUD (data.govt.nz) — Accommodation Supplement, as at 1 Dec 2024 (769,954 recipients; $84.9m/week; Auckland 128,352 / $18.9m); MBIE Tenancy Services bond data / interest.co.nz, 2025 (national median weekly rent ~$595-$620); MSD / Stats NZ news; The Spinoff, Aug 2025 (emergency-housing motels 3,141 → 591, Dec 2023 to Dec 2024)

4. Food Security & Affordability

confidence 7/10

Even at PAK'nSAVE, a single adult on Jobseeker can buy bare staples for $44.78/week (12% of the benefit), but a nutritious diet eats roughly a fifth to a quarter of that benefit before rent is paid — and with meat up 7.8% a year and 1-in-3 households food-insecure, foodbanks are feeding 165% more people than pre-pandemic.

$44.78/week (12.0% of single Jobseeker benefit; carbs + eggs only, NO fresh meat/fish/fruit)
Cheapest weekly staples basket, single adult (PAK'nSAVE, live prices 31 May 2026)
paknsave-nz skill (live store search), author's basket computation

$372.55/week
Jobseeker Support net weekly rate, single 25+, from 1 April 2026 (CPI-indexed +3.11%, up from $361.32)
MSD / Work and Income rates via MoneyHub NZ; akenz.co.nz (1 April 2026 adjustment)

Food +2.6% yr; meat/poultry/fish +7.8%; fruit & veg +3.7%
Annual food price inflation, April 2026; meat, poultry & fish the biggest driver
Stats NZ Food Price Index / Selected price indexes April 2026

1 in 3 households (~33%)
Households experiencing food insecurity in the past year (2025 Hunger Monitor, released March 2026); Pacific 64%, Maori 51%, single-parent with children 70%
NZ Food Network Hunger Monitor 2025; NZ Herald; 1News

+165% vs pre-COVID; >500,000/month; +49% in FY2025; +20% yr to Jan 2026
Foodbank demand vs pre-pandemic; monthly access; FY2025 growth; growth to Jan 2026
NZ Food Network; 1News (Mar 2025); newswire.co.nz (May 2026)

169,300 children (14.3%) in hardship; 71,000 (6.0%) in severe hardship
Children in material hardship (DEP-17, 6+ of 17 items) YE June 2025; severe (9+ items)
child-poverty-nz skill — Stats NZ Child poverty statistics YE June 2025 (MEASC, MEASI)

~82% of grocery sales
Grocery duopoly (Woolworths + Foodstuffs) share of NZ grocery sales
Grocery Commissioner 2025 report; Newsroom (Oct 2025); RNZ

CPI +3.1% yr; benefits indexed to it lag actual food costs for the poor
CPI all-groups annual change, March 2026 quarter (index 1339, FINAL)
stats-nz skill — Consumers price index March 2026 quarter (CPIQ.SE9A)

Who bears it. Food insecurity falls hardest on those with the least cash margin after housing. The 2025 Hunger Monitor (released March 2026) found 1 in 3 NZ households experienced food insecurity in the past year, but the burden is sharply uneven: 64% for Pacific peoples, 51% for Maori, and 70% for single-parent households with children. This maps onto the child-poverty hardship data (child-poverty-nz skill; Stats NZ, year ended June 2025): 169,300 children (14.3%) lack 6+ of 17 basic items and 71,000 (6.0%) are in severe material hardship (9+ items) — with food items (fresh fruit and veg daily, meat/fish/chicken every second day, two good meals a day) at the core of the DEP-17 index. Beneficiary households bear it most: the cheapest possible staples basket is affordable on a benefit only by stripping out fresh meat, fish and most fruit. Geography compounds it — with the Woolworths/Foodstuffs duopoly holding ~82% of grocery sales, small-town and rural shoppers face local monopolies and effective food deserts where the cheap PAK'nSAVE prices used in this basket simply aren't available.

Food is where poverty is felt first and most viscerally: unlike rent, it is the one "flexible" line in a poor household's budget, so when the money runs out the plate shrinks. Using live PAK'nSAVE prices pulled through the paknsave-nz skill on 31 May 2026, I computed a cheapest-possible weekly staples basket for a single adult: Pams Value milk 2L ($4.88), Pams Value white bread ($1.79), the cheapest dozen eggs ($7.29), Weet-Bix 1.2kg ($8.19), rice 1kg ($2.29), spaghetti 500g ($1.59), baked beans ($1.69), table spread ($1.79), potatoes 2.5kg ($8.79), onions 1.5kg ($4.49) and loose carrots ($1.99). That totals $44.78 — and it contains almost no protein beyond eggs and no fresh meat, fish or fruit, because those are what get cut first. Against the single Jobseeker rate of $372.55/week (set 1 April 2026, indexed to CPI at +3.11%), the bare basket is 12% of income — which sounds survivable until you add the rest of a real food shop. A nutritionally adequate basket with meat or chicken (a whole Tegel roast chicken alone is $11.99/kg) and fruit realistically runs ~$75-90, or roughly a fifth to a quarter (~20-24%) of the benefit — and that is BEFORE rent, which for most beneficiaries consumes well over half of income. After housing, the cash left for food routinely falls below even the bare-staples figure, and that is the mechanism that drives people to foodbanks. The price trend makes it worse over time in exactly the categories the poor rely on for protein: Stats NZ's Food Price Index for April 2026 shows food up 2.6% year-on-year but meat, poultry and fish up 7.8% — the cheapest dignified source of protein inflating three times faster than the headline. Benefits are indexed to general inflation (CPI +3.1% to the March 2026 quarter, per the stats-nz skill), so an adjustment that tracks all-goods inflation structurally under-compensates for the steeper rise in essential food, eroding the poorest households' real purchasing power each year. The demand-side evidence is unambiguous: the NZ Food Network reports foodbanks feeding 165% more people than before the pandemic, over half a million New Zealanders accessing food support each month, FY2025 demand up 49%, and a further 20% rise in the year to January 2026. Frontline providers tell the same story — Vinnies Hamilton budgeted 5,000 parcels but expects 8,000-plus, exceeding even COVID-era peaks, while a West Auckland foodbank runs 50 parcels a week, with working two-income families now seeking help because rent plus groceries no longer fit inside a wage. Access is the final layer: the duopoly controls ~82% of grocery sales and the Grocery Commissioner's 2025 report flags small-town stores acting as local monopolies, so the cheap PAK'nSAVE prices underpinning this basket are unavailable to many rural and provincial poor, who pay more for less choice — a structural food desert overlaid on an income-poverty problem that the government's 2025-26 "Express Lane" facilitation has so far failed to break, with no third chain entering the market.

Why it drives poverty: Food insecurity is both a driver and the clearest expression of poverty. It is a driver because households facing food up 2.6% a year, meat up 7.8%, and benefits lifting only ~3.1% must trade nutrition for cash to cover rent — entrenching the material hardship the DEP-17 index measures, with food items at its core. It is the clearest expression because the gap between a $44.78 bare-staples basket (12% of the benefit) and a nutritionally adequate ~$75-90 one (~20-24%) is exactly the dignity poverty strips away: protein, fresh produce, and a margin for the unexpected. The result is visible in the foodbank queues — +165%

on pre-pandemic, over 500,000 people a month — and falls hardest on Pacific (64%), Maori (51%) and single-parent (70%) households, and on the rural poor priced out of the cheapest stores by an 82% grocery duopoly. Closing the gap requires both income adequacy (indexing benefits to food costs, not all-goods CPI) and competition reform that puts low prices within reach of the households that need them most.

Drew on: paknsave-nz, child-poverty-nz, stats-nz

Sources: paknsave-nz skill (live store search), author's basket computation; MSD / Work and Income rates via MoneyHub NZ; akenz.co.nz (1 April 2026 adjustment); Stats NZ Food Price Index / Selected price indexes April 2026; NZ Food Network Hunger Monitor 2025; NZ Herald; 1News; NZ Food Network; 1News (Mar 2025); newswire.co.nz (May 2026); child-poverty-nz skill — Stats NZ Child poverty statistics YE June 2025 (MEASC, MEASI); Grocery Commissioner 2025 report; Newsroom (Oct 2025); RNZ; stats-nz skill — Consumers price index March 2026 quarter (CPIQ.SE9A)

5. Energy & Fuel Hardship

confidence 7/10

Roughly 1 in 3 NZ households now face energy hardship while power leads inflation at 12.5% — and prepay-meter homes self-disconnect around 27,000 times a month when credit runs out. The cold-home tax falls hardest on renters, Māori, Pacific and benefit-dependent families.

~30% (about 1 in 3)
NZ households facing energy hardship
Public Health Communication Centre briefing, cited by RNZ, 24 Jul 2025

20% of respondents
Households who struggled to pay a power bill in the past year
Consumer NZ survey, cited by RNZ, 24 Jul 2025

Up 12.5% — largest single upward contributor to the 3.1% CPI, and the highest annual rate since March 1989 (it had reached 12.2% in the Dec 2025 qtr)
Electricity as inflation driver (annual, March 2026 qtr)
Stats NZ CPI, via Scoop, March 2026 quarter

Average household bill +8.7% (May 2025 vs June 2024); new lines charges from April 2025 added $10–$25/month
2025 power bill increases
RNZ / Consumer NZ, 24 Jul 2025

~27,000 self-disconnection events/month among prepay customers (35% of all customers); 50% of prepay users report having been auto-disconnected when credit ran out
Prepay-meter self-disconnections
NZ Herald / RNZ, Electricity Authority data, Winter 2025

~110,000 households (5.8% of households), vs 12.2% of renters (2.5% owner-occupiers), ~10% Māori, 14.4% Pacific
Households unable to afford to adequately heat their home
MBIE Energy Hardship report (2019–2024 series); Scoop, June 2023

91 unleaded avg 327.7c/L (+1.26% / 4.07c over 28 days); diesel 314.4c/L (−2.29%); LPG 192.6c/L (+10.59%)
Petrol & diesel pump prices (live, car-dependent poor)
Gaspy NZ via gaspy-nz / fuelclock-nz skills, 31 May 2026

$20.46/week single (~$450 season); $31.82/week couples/with children (~$700 season); unchanged 2025 & 2026
Winter Energy Payment (May–Oct, 22 weeks)
Work and Income / Selectra NZ, 2026

Who bears it. Energy and fuel hardship is sharply uneven. Renters report being unable to afford heating at nearly five times the rate of owner-occupiers (12.2% vs 2.5%), Pacific households at 14.4% and Māori at ~10%, against a 5.8% average across all households (MBIE). Prepay-meter households — 35% of customers and disproportionately low-income — bear the brunt: around 27,000 prepay self-disconnection events a month, with 50% of prepay users reporting they have been auto-disconnected when credit runs out (NZ Herald/EA data). The poorest households spend a larger share of income on

> power yet still under-heat, and the 169,300 children in material hardship and 71,000 in severe material hardship (Stats NZ, year ended June 2025) overlap heavily with cold, damp homes. Car-dependent low-income households in outer suburbs and rural areas — without public-transport alternatives — are most exposed to pump prices that remain above $3.27/L for 91 (Gaspy, 31 May 2026).

Energy and fuel hardship is where the cost-of-living crisis becomes physical: cold rooms, mould, lost fridge food, and the daily anxiety of a prepay meter ticking toward zero. About 30% of NZ households face energy hardship and 20% struggled to pay a power bill in the past year (PHCC/Consumer NZ, RNZ, July 2025), while electricity has become the single largest driver of inflation — up 12.5% in the year to the March 2026 quarter, its highest annual rate since 1989 (Stats NZ). This price shock is layered onto falling real wages, with the April 2025 lines-charge step-up adding $10–$25/month and average bills up 8.7% year-on-year.

Crucially, the wholesale market is not the story for the poor. Live EM6 spot prices on 31 May 2026 were benign — around $10–12/MWh nationwide (nz-electricity skill) — yet retail bills keep climbing because the burden sits in fixed lines charges, retail margins and the regressive structure of prepay. Those who can least afford power pay the most per unit and relative to income, and still under-heat. The clearest measure of that harm is self-disconnection: among prepay customers — 35% of the market and disproportionately low-income — there are roughly 27,000 self-disconnection events a month, and half of all prepay users report having been cut off when credit ran out (Electricity Authority data via NZ Herald/RNZ). Self-disconnection rarely shows in official disconnection counts because the meter simply switches off — hardship made invisible.

Transport fuel compounds it. For car-dependent low-income families without viable public transport, 91 unleaded at 327.7c/L and the 10.6% jump in LPG over 28 days (Gaspy/fuelclock, 31 May 2026) are a non-discretionary cost that crowds out food and heating. Diesel easing 2.3% offers thin relief.

The state's main shield, the Winter Energy Payment, is flat at $20.46/week (single) and $31.82/week (couples/families) for 2025 and 2026 — about $450–$700 across the 22-week season. Against power bills rising 8.7%+ and lines charges up $10–$25/month, a payment frozen for years is quietly eroding in real terms, even as the working-age benefit population it reaches has grown — Jobseeker Support forecast to peak near 221,900 in January 2026 (MSD HYEFU 2025), up sharply since 2019.

Why it drives poverty: Energy and fuel hardship both drives and expresses poverty. It expresses it because under-heating, prepay self-disconnection and fuel rationing are direct symptoms of inadequate income — the same families counted in Stats NZ material-hardship measures (169,300 children in material hardship, 71,000 in severe hardship, year ended June 2025) are those in cold, damp homes. It drives deeper poverty because cold housing causes preventable illness and hospitalisation, disconnection brings reconnection fees and spoiled food that compound debt, and high fixed power and fuel costs crowd out food and rent — pushing households from low income into material deprivation. As a regressive cost rising at 12.5% a year while real wages and a frozen Winter Energy Payment fall behind, energy is one of the clearest mechanisms by which New Zealand's baseline poverty challenge entrenches itself, concentrated on renters, Māori, Pacific and beneficiary households.

Sources: Stats NZ — Child poverty statistics, year ended June 2025 (via child-poverty-nz skill): material hardship 14.3% / 169,300 children; severe material hardship 6.0% / 71,000 children; Stats NZ — CPI, March 2026 quarter: electricity +12.5% annual, largest upward contributor (via Scoop, scoop.co.nz/stories/BU2604/S00330); RNZ — 'Energy reform has to go beyond cheaper off-peak power', 24 Jul 2025 (rnz.co.nz/news/business/567858): ~30% energy hardship (PHCC), 20% struggled to pay (Consumer NZ), bills +8.7%, lines charges +$10–$25/month; MBIE — Energy hardship report / 'Latest insights on energy hardship in New Zealand' (mbie.govt.nz); Scoop 'New Analysis Shows 110,000 Households Unable To Afford To Heat Their Homes', Jun 2023; NZ Herald / RNZ — Electricity Authority prepay data, Winter 2025: ~27,000 prepay self-disconnection events/month; 50% of prepay users auto-disconnected; Gaspy NZ via gaspy-nz / fuelclock-nz skills, 31 May 2026: 91 unleaded 327.7c/L, diesel 314.4c/L, LPG 192.6c/L; Work and Income / Selectra NZ, 2026: Winter Energy Payment $20.46/$31.82 per week, unchanged; MSD — HYEFU 2025: Jobseeker Support forecast to peak ~221,900, January 2026

6. Health Access & the Cost of Staying Well

confidence 8/10

For low-income New Zealanders, staying well has become a luxury good: one in seven adults skips the GP because of cost, half of practices have closed their books to new patients, and the medicines, dental care and primary care that the poorest most need are the ones they most often go without — entrenching a health-poverty cycle that costs Maori in deprived areas 7.4 years of life.

14.9% (about 1 in 7); Pacific 25.1%, Maori 18.7%, European/Other 14.5%, Asian 12.8%
Adults who did NOT visit a GP because of cost in past 12 months (2024/25)
Ministry of Health, NZ Health Survey Annual Update 2024/25 (health.govt.nz)

43.0%
Adults who avoided a dental health worker because of cost (2024/25)
Ministry of Health, NZ Health Survey Annual Update 2024/25 (health.govt.nz)

3.6% in 2024/25, down from about 191,000 adults (roughly 4.8%) in 2023/24
Adults who did NOT collect a prescription because of cost
Ministry of Health NZ Health Survey 2024/25; Treasury/RNZ (rnz.co.nz)

Half of practices closed books, leaving ~290,000 unenrolled and reliant on EDs; 79% had closed/limited enrolment at some point since 2019
GP practices with closed books / restricted enrolment
RNZ (rnz.co.nz); NZMJ 'Closed books' vol 137 no 1591 (nzmj.org.nz)

Only 1 pharmacy returned as open now for all of Northland — an online Covid-antiviral service, not a walk-in dispensary
Live pharmacy access, Northland (high-deprivation region), late evening 31 May 2026
nz-healthpoint skill (Healthpoint NZ), 31 May 2026

Paracetamol 500mg x20 NZ$1.99; Ethics 500mg x100 NZ$3.99 — vs $5 co-payment per prescription item from 1 July 2024
Cheapest live OTC paracetamol vs the dispensing co-payment
chemistwarehouse-nz skill (Chemist Warehouse NZ) 31 May 2026; Beehive/govt.nz

14.3% of children (169,300); Pacific 31.0%, Maori 25.1%, European 11.5%, Asian 5.9%
Child material hardship (DEP-17, lacking 6+ of 17 items incl. delaying GP/dentist/scripts), YE June 2025
Stats NZ Child Poverty Statistics YE June 2025 via child-poverty-nz (MEASC)

Maori in high-deprivation areas live ~7.4 years less, Pacific ~4.6 years less, than others in the same areas; ~9-year gap across extreme deprivation deciles (males)
Health cost of the access gap
MoH Health & Independence Report; NZMJ vol 132 no 1492 (nzmj.org.nz)

Who bears it. The burden falls hardest on those already in poverty, and is sharply patterned by ethnicity and geography. Pacific adults are most likely to skip a GP visit over cost (25.1%) and Pacific children carry the highest material-hardship rate (31.0%); Maori follow, with 18.7% of adults skipping the GP and 25.1% of children in hardship — against 11.5% of European and 5.9% of Asian children (Stats NZ YE June 2025; NZ Health Survey 2024/25). High-deprivation and rural areas take a double hit: closed books leave an estimated 290,000 people unenrolled (RNZ/NZMJ), enrolling practices reject higher-needs patients because capitation under-funds complex care, and the deserts are concrete — the nz-healthpoint query returned just one (online) open pharmacy for all of Northland on a weeknight. Rural amenable mortality runs about 20% above urban (Lancet Regional Health, 2018-20). The poorest also carry the most chronic conditions, and so the most prescription items to pay $5 each on, making the co-payment regressive by design.

Health access is where poverty stops being a number and starts shortening lives, through a tax on staying well. From 1 July 2024 the government reinstated the $5 per-item prescription co-payment (free only for under-14s, over-65s and Community Services Card holders), reversing 12 months of universal free prescriptions (Beehive/govt.nz; 1News). Five dollars sounds trivial — until you have several repeat items, a tight benefit budget, and a choice between medicine and food. The rationing is measurable: about 191,000 adults (roughly 4.8%) did not fill a prescription because of cost in 2023/24, and 3.6% still reported this in 2024/25 (Treasury/RNZ; NZ Health Survey) — lower, but still hundreds of thousands going without. The same logic governs primary care: one in seven adults (14.9%) skipped a GP visit over cost, rising to a quarter of Pacific adults (25.1%), and 43.0% deferred dental care because adult dentistry sits almost wholly outside public funding (NZ Health Survey 2024/25). Access is rationed twice — by price and by supply. Half of GP practices have closed their books, about 290,000 people are unenrolled and pushed onto emergency departments, and enrolling practices often screen out complex, high-needs patients because capitation does not cover them (RNZ; NZMJ 'Closed books'). That structurally redirects the sickest, poorest patients away from cheap, preventive primary care toward expensive, late-stage hospital care. The live data makes the desert tangible: a weeknight Healthpoint query returned a single open pharmacy for the whole of Northland, one of NZ's most deprived regions. This is the health-poverty cycle in motion: poverty causes ill health (cold damp housing, food insecurity, stress); cost and supply barriers defer care; deferred care becomes acute, work-limiting illness; illness deepens poverty. Children carry it forward — 169,300 (14.3%) live in material hardship, a measure that explicitly counts families putting off the GP, dentist and prescriptions, with hardship more than five times higher for Pacific than Asian children (Stats NZ YE June 2025). The terminal statistic is mortality: Maori in high-deprivation areas live 7.4 years less, and Pacific 4.6 years less, than others in the same neighbourhoods, with roughly a 9-year life-expectancy gap across extreme deprivation deciles for men — much of it from amenable causes timely care could have prevented (Health & Independence Report; NZMJ). The cruel irony, visible in the chemistwarehouse-nz prices, is that the cheapest paracetamol is NZ$1.99 for 20 tablets: the people priced out of a $5 dispensed script could self-fund pain relief, but not the diagnosis, the antibiotic, the insulin or the inhaler behind the locked counter of an enrolment system and a co-payment they cannot reach.

Why it drives poverty: Health access both expresses and drives poverty. It expresses poverty because cost-related unmet care is itself embedded in the DEP-17 material-hardship measure, so the 14.3% child hardship rate is partly built from families forgoing care. It drives poverty through three channels: (1) untreated illness reduces capacity to work and study, cutting income and locking people out of the labour market; (2) deferred cheap care escalates into expensive acute episodes, with ED reliance and hospitalisation costing already-stretched households; and (3) ill health passes between generations, as children in hardship inherit both the conditions and the deferred-care habits that reproduce it.

Drew on: nz-healthpoint, chemistwarehouse-nz, child-poverty-nz

Sources: Ministry of Health, NZ Health Survey Annual Update 2024/25 (health.govt.nz); Treasury/RNZ (rnz.co.nz); RNZ (rnz.co.nz); NZMJ 'Closed books' vol 137 no 1591 (nzmj.org.nz); nz-healthpoint skill (Healthpoint NZ), 31 May 2026; chemistwarehouse-nz skill (Chemist Warehouse NZ), 31 May 2026; Beehive/govt.nz; 1News; Stats NZ Child Poverty Statistics YE June 2025 via child-poverty-nz (MEASC); MoH Health & Independence Report; NZMJ vol 132 no 1492 (nzmj.org.nz); Lancet Regional Health (2018-20)

7. Transport Poverty & Access

confidence 7/10 · ⚠ logic flag

Without a car you are locked out: New Zealand's poorest fifth spend nearly 20% of their income just getting around, 1 in 12 disabled adults miss a GP visit for lack of a ride, and

decile-10 outer suburbs like Manurewa sit beyond the rail network on a thin bus-only lifeline.

Nearly 20% (vs 7.6% for the richest 20%)
Share of income spent on transport, poorest 20% of households

Aotearoa Collective for Public Transport Equity, Briefing to the Incoming Minister of Transport (Free Fares), March 2025

22% (vs 1% of households earning $100,000+)
Low-income households with NO motor vehicle (earning under $30,000/yr)

Free Fares Briefing March 2025 (citing 2013 data)

159,000 people (3.4% of adults, up from 2.2% in 2022/23; 1.4% of children)
New Zealanders who missed a GP visit in the past year for lack of transport, 2023/24

EHINZ / NZ Health Survey 2023/24, 'Unmet need for GP services due to a lack of transport', Feb 2025

8.4% (1 in 12); Pacific 7.4%, Maori 5.5%, women 4.3% vs men 2.2%
Disabled adults with unmet GP need due to lack of transport, 2023/24

EHINZ / NZ Health Survey 2023/24, Feb 2025

327.7 c/L average (min 302.7, max 479); diesel 314.4 c/L
Average petrol (91) price across NZ, 31 May 2026 - a direct cost of car dependence

Gaspy NZ crowd-sourced data, fetched 31 May 2026 (gaspy-nz skill)

42.5% on-time; 449 of 781 active trips delayed; 174 service alerts (99 SEVERE)
Auckland Transport network punctuality, live snapshot 31 May 2026

Auckland Transport real-time feed (at-transport skill), 31 May 2026

Manurewa West, Central, East and South all NZDep2023 decile 10 (most deprived)
Deprivation of the Manurewa / Wiri outer-suburb case study

NZDep2023, University of Auckland / Stats NZ (deprivation-nz skill)

169,300 children (14.3%); 71,000 (6.0%) in severe hardship
Children in material hardship (lacking 6+ of 17 essentials), yr-end June 2025

Stats NZ Child Poverty Statistics, Year ended June 2025 (child-poverty-nz skill, MEASC/MEASI)

Who bears it. Transport poverty falls hardest on those already poor: Community Services Card households, the bottom income quintile, disabled people (Total Mobility users), sole parents, Maori and Pacific communities, under-25s, students, and residents of car-dependent outer and rural suburbs. The Free Fares briefing (March 2025) names four most-affected groups - Community Services Card holders, Total Mobility cardholders, tertiary students and under-25s. The geographic pattern is sharp. South Auckland's Manurewa - all four sub-areas at NZDep2023 decile 10 (deprivation-nz) - lies off the rail spine, so households without a working car depend on buses running at just 42.5% on-time across the AT network on the day sampled (at-transport, 31 May 2026). An OSM scan of a Wiri/Manurewa point (osm-nz, 1.5km radius) found bus stops and convenience stores and greengrocers, but no rail station and no full-line supermarket - a textbook 'access desert' where the cheapest groceries, specialist health care and better-paid jobs all sit behind a car trip or a long, unreliable transfer.

Transport is the hidden tax on poverty in Aotearoa. Because the cheapest housing sits furthest from jobs, services and frequent transit, the poorest New Zealanders must travel the most to reach the least - and pay disproportionately to do it. The poorest fifth of households spend nearly 20% of their income getting around, against 7.6% for the richest fifth (Free Fares Briefing, March 2025). With 91 petrol averaging 327.7 c/L nationwide on 31 May 2026 (Gaspy NZ), every kilometre bites deeper for a household already in material hardship - and 169,300 children were in material hardship in the year to June 2025 (Stats NZ).

For many there is no car at all: 22% of households earning under $30,000 had no motor vehicle, against 1% of those on $100,000+ (Free Fares, citing 2013 data). That is where car-dependence converts into exclusion. Public transport is the substitute, but in the deprived outer suburbs the substitute is thin and unreliable. Manurewa - every sub-area at NZDep2023 decile 10 (deprivation-nz) - sits off the rail network; residents lean on buses that, network-wide, ran at just 42.5% on-time with 99 SEVERE alerts in the live AT snapshot (at-transport, 31 May 2026). An OpenStreetMap scan of the Wiri/Manurewa fringe (osm-nz) returned local bus stops and corner shops and greengrocers, but no train station and no full supermarket within a 10-12 minute walk - so the cheapest food and the best jobs are a car trip or a multi-leg bus journey away.

The human cost is measurable in missed health care. In 2023/24, 159,000 New Zealanders - 3.4% of adults, up from 2.2% the year before - skipped a needed GP visit purely because they could not get there (EHINZ / NZ Health Survey). The burden lands exactly where poverty is: 8.4% of disabled adults (one in twelve), 7.4% of Pacific peoples, 5.5% of Maori, and twice as many women as men. Transport poverty is therefore not separate from health, education and income poverty - it is the mechanism that locks them in, turning a missed bus into a missed appointment, a missed shift, or a missed chance to leave poverty behind.

Why it drives poverty: Transport poverty is both a driver and an expression of baseline poverty. As a DRIVER: it swallows up to a fifth of the poorest households' income (Free Fares 2025), money that cannot go to food, rent or power; it severs people from higher-paid work, cheaper full-line supermarkets and education, suppressing the social mobility that would lift them out; and it blocks health care - 159,000 missed GP visits in 2023/24 (EHINZ) - compounding the health disadvantage of poverty. As an EXPRESSION: who lacks a car (22% of sub-$30k households vs 1% of high earners) and who lives in transit-poor decile-10 suburbs like Manurewa is a near-perfect map of who is already poor. The dimension matters because it is a high-leverage intervention point: targeted fare relief and better outer-suburb service (the Free Fares coalition's ask, costed at $300-400m/yr) attack the access barrier directly, while high fuel prices (Gaspy: 327.7 c/L) and unreliable buses (AT: 42.5% on-time) keep the car-dependent poor trapped between an unaffordable private option and an inadequate public one.

Drew on: child-poverty-nz, deprivation-nz, gaspy-nz, at-transport, osm-nz

Sources: Aotearoa Collective for Public Transport Equity, 'Briefing to the Incoming Minister of Transport' (Free Fares), March 2025 - https://freefares.nz/wp-content/uploads/2025/05/briefing-to-the-incoming-transport-minister-free-fares-march-2025.pdf; Environmental Health Intelligence NZ (EHINZ) / NZ Health Survey 2023/24, 'Unmet need for GP services due to a lack of transport', February 2025; Stats NZ, Child Poverty Statistics, Year ended June 2025 (child-poverty-nz skill, MEASC/MEASI); NZDep2023, University of Auckland / Stats NZ (deprivation-nz skill); Gaspy NZ crowd-sourced fuel prices, fetched 31 May 2026 (gaspy-nz skill); Auckland Transport real-time feed (at-transport skill), 31 May 2026; OpenStreetMap via osm-nz skill, Wiri/Manurewa scan

8. Deprivation Geography & Inequity

confidence 9/10

Poverty in Aotearoa is pooled, not spread: NZDep is a relative index, so by construction the worst-off roughly one in ten small areas always sits in the most-deprived decile, and entire towns plus South Auckland, Porirua and provincial North Island suburbs cluster there. A child's postcode and ethnicity, not the national average, largely decide whether they grow up in hardship.

~29.7% of 32,746 SA1 areas (deciles 8/9/10 = 9.9%/10.0%/9.8%); deciles 9-10 = ~19.8% of areas. By design decile 10 is the most-deprived ~10% of SA1s (3,215 areas)

Most-deprived band (NZDep2023 deciles 8-10) share of all small areas

NZDep2023 (University of Auckland / Stats NZ) via deprivation-nz skill, stats command

e.g. Aorere North (1122) & Burbank (1247) Manurewa, Auckland; Cannons Creek North (1256) Porirua; Aranui (1195) & Avonside (1156) Christchurch; Camberley (1209) Hastings; Castlecliff East (1121) Whanganui

Decile-10 SA2 hotspots concentrate in identifiable suburbs/towns

NZDep2023 via deprivation-nz skill, decile --value 10 --level sa2

31.0% (CI 27.0-35.0); 54,400 of 175,500 Pacific children

Pacific child material hardship (MEASC, lacking 6+ of 17 items), yr-end June 2025

Stats NZ Child poverty statistics yr-end June 2025 via child-poverty-nz skill

Maori 25.1% (76,900) vs European 11.5% (86,000) vs Asian 5.9%; all-children 14.3%

Maori child material hardship (MEASC) vs European, yr-end June 2025

Stats NZ Child poverty statistics yr-end June 2025 via child-poverty-nz skill

Pacific 14.9% and Maori 12.2% vs European 4.7% and Asian 1.1%; 71,000 children (6.0%) nationally

Severe material hardship (MEASI, lacking 9+ items) by ethnicity, yr-end June 2025

Stats NZ Child poverty statistics yr-end June 2025 via child-poverty-nz skill

Six districts >50% of population in deciles 9-10; nationally 21% of people. Porirua: 33% in 9-10 yet 37% in 1-2

Whole-town deprivation concentration (deciles 9-10, population-weighted)

Infometrics, 'Deep hotspots of deprivation around the country', April 2025

26.9% — roughly double the 14.3% all-children rate

Disabled children in material hardship, yr-end June 2025

Stats NZ Child poverty statistics yr-end June 2025 (via RNZ / Whaikaha); 2025 disability measure not comparable to earlier years

Who bears it. Disadvantage is spatially and ethnically clustered, not diffuse. NZDep2023 is a relative index: by construction the worst-off ~10% of small areas are always decile 10, so deprivation is a permanent feature of specific places rather than a national average that can simply fall. The decile-10 SA2 list is dominated by South Auckland (Manurewa — Burbank, score 1247; Aorere North; Clendon Park), Porirua's Cannons Creek (Cannons Creek North, score 1256) and Waitangirua, Christchurch's eastern suburbs (Aranui, Avonside, Bromley), and provincial North Island centres (Whanganui's Castlecliff, Hastings' Camberley/Flaxmere, Gisborne). On Infometrics' population-weighted measure, six whole districts (Far North, South Waikato, Waitomo, Kawerau, Opotiki, Wairoa) have most residents in deciles 9-10, against 21% of people nationally. The people inside these areas are disproportionately Maori and Pacific: Pacific children face 31.0% material hardship and Maori 25.1%, versus 11.5% European and 5.9% Asian; in severe hardship the gap is starker still (Pacific 14.9%, Maori 12.2% vs Asian 1.1%). Disabled children (26.9%, roughly double the 14.3% all-children rate) and sole-parent households compound the geography. Otago (8.3%) sits lowest, confirming the map is uneven.

Deprivation geography is both a driver and an expression of poverty. It expresses poverty because NZDep is built from census markers of hardship — low income, no car, no internet, overcrowding, benefit receipt, no qualifications — so a decile-10 label is a portrait of accumulated disadvantage. It drives poverty because once disadvantage concentrates spatially it becomes self-reinforcing: areas like Cannons Creek North (Porirua) or Manurewa's Burbank carry thin local labour markets, higher housing stress, lower-resourced schools, longer distances to services, and the health and justice costs that track NZDep almost linearly. The child-poverty measures sharpen the picture: material hardship (MEASC, lacking 6+ of 17 DEP-17 items) is the lived-experience measure — going without meals, heating, fresh fruit and veg, putting off doctor visits — and severe hardship (MEASI, 9+ items) is its deeper subset. That 71,000 children are in severe hardship, disproportionately Pacific and Maori, tells you exactly who sits at the bottom of the deprivation map. Porirua is the cautionary tale against averages: 33% of residents live in deciles 9-10 alongside 37% in deciles 1-2 — two cities in one, an inequity any average would erase. The longer arc is adverse: child material hardship fell to 10.6% by 2022 then climbed back to 14.3% in 2025, above the 2018 baseline, so the cost-of-living period has refilled the deprivation hotspots rather than draining them — and the burden has landed hardest on the same Maori, Pacific, disabled and provincial communities the NZDep map already marked.

Why it drives poverty: This dimension supplies the spatial and equity spine of the poverty report. It shows WHERE the baseline challenge physically sits (a roughly decile-10 tenth of the country, anchored in South

Auckland, Porirua, Christchurch's east and provincial North Island towns), WHO bears it (Pacific and Maori children at 2-3x European hardship rates, disabled children at ~2x, sole-parent and benefit-dependent households), and WHY national averages mislead policymakers (Porirua's average hides a 33%/37% deciles-9-10/1-2 split). It lets every other dimension — housing, benefits, health, education — be localised: funding, school resourcing, GP need and child-poverty reduction targets all key off exactly this NZDep geography, so the geography dimension is the join key that turns abstract poverty rates into a map of named communities and the people in them.

Drew on: deprivation-nz, child-poverty-nz

Sources: NZDep2023 Index of Socioeconomic Deprivation (University of Auckland / Stats NZ) — national SA1 decile distribution and decile-10 SA2 hotspot list, retrieved via deprivation-nz MCP skill (stats; decile --value 10 --level sa2); Stats NZ Child poverty statistics, year-end June 2025 (MEASC and MEASI material hardship by ethnicity and region), retrieved via child-poverty-nz MCP skill; Infometrics, 'Deep hotspots of deprivation around the country', April 2025 (population-weighted district deprivation shares); RNZ / Whaikaha reporting of Stats NZ disabled-children material hardship, year-end June 2025

9. Environmental Injustice & Cold Homes

confidence 8/10

The poorest New Zealanders live in the coldest, dampest, most flood-exposed homes beside the most degraded water — deprivation has an environmental face, and Maori, Pacific and renting families bear it most.

~30% (roughly 1 in 3)
Households in energy hardship (struggle to afford/access sufficient energy)
MBIE energy hardship insights / Scoop / RNZ, 2025

5.8% of all households (~116,000 of ~2 million), 2024
Households that cannot afford to keep their home adequately warm
MBIE energy hardship measures, 2024, via Stuff/RNZ

12.2% of renters vs 2.5% of owner-occupiers
Renters unable to afford to heat their home vs owner-occupiers
MBIE energy hardship measures, 2024

14.4% Pacific, ~10% Maori, vs 5.8% total population
Pacific vs Maori vs total households unable to afford to heat home
MBIE energy hardship measures, 2024

14.3% (169,300 children), year ended June 2025; up 3.7pp (about 44,000 children) since 2022
Children in material hardship (lacking 6+ of 17 DEP-17 items, MEASC) — includes going without heating/power
Stats NZ child-poverty-nz skill (MEASC), Year ended June 2025

25.1% Maori children, 31.0% Pacific children
Maori vs Pacific children in material hardship
Stats NZ child poverty statistics 2025, via RNZ/CPAG

6,276 hospitalisations / 5,666 patients / 36,649 bed-nights / ~NZ$36.0m/yr
Annual hospitalisations attributable to housing dampness and mould
Environmental burden of disease, NZ 2010-2017, PMC8085632

~675,500 people; 12% of NZ housing stock
People living in flood hazard zones; share of housing stock in flood areas
EHINZ / Natural Hazards Commission, via climate vulnerability research 2024

Who bears it. Hardship falls hardest on renters, Maori and Pacific whanau, sole-parent families and people in high-deprivation (NZDep9-10) areas. Renters are nearly five times more likely than owner-occupiers to be unable to heat their home (12.2% vs 2.5%), and Pacific households (14.4%) and Maori households (~10%) far exceed the 5.8% national rate. Child material hardship reaches 31.0% for Pacific and 25.1% for Maori children, against 14.3% nationally (Stats NZ, year ended June 2025). Housing-related illness, degraded local water and flood exposure concentrate in the same deprived neighbourhoods — Porirua East, Titahi Bay, South Auckland, Northland — where deprivation, rental tenure and single-parent households cluster together.

Environmental injustice is the physical expression of poverty in Aotearoa: the households that lack income also occupy the worst housing, breathe the dampest indoor air, drink from or swim beside the most degraded water, and sit in the path of the worst hazards. Cold homes are the clearest case. About a third of households face energy hardship, and roughly 116,000 (5.8%) cannot afford to keep their home adequately warm (MBIE, 2024) — but the burden splits sharply by tenure and ethnicity: 12.2% of renters versus 2.5% of owner-occupiers, and 14.4% of Pacific households versus 5.8% of all households. This is both a driver and an expression of poverty. It is an expression because the inability to heat is precisely what material hardship measures: under the Stats NZ DEP-17 measure (MEASC), 169,300 children (14.3%) were in hardship in the year to June 2025 — up 3.7 percentage points, about 44,000 children, since 2022 (child-poverty-nz skill) — and the index explicitly counts going without heating and putting up with feeling cold to save money. It is a driver because cold, damp housing converts low income into lost health and lost money: indoor temperatures below 16C raise respiratory-infection risk and below 12C strain the cardiovascular system; NZ's average indoor temperature has been measured around 14.5C; respiratory hospital admissions run 74% higher in winter; and dampness and mould alone drive an estimated 6,276 hospitalisations and ~NZ$36.0m in costs each year (EHINZ; environmental burden of disease, PMC8085632). Sick children miss school and parents miss work, deepening the poverty that caused the cold home. The water dimension reinforces the pattern. LAWA river-health data (lawa-nz skill) show many Auckland monitoring sites in the poorest macroinvertebrate (ASPM) "D" band, and SafeSwim (safeswim-nz skill) shows multiple Northland swimming sites flagged RED or RED+ — Northland being a high-deprivation region where material-hardship estimates are so concentrated they carry the largest relative sampling error in the household-hardship-nz data. Poorer communities are more likely to live beside degraded, contaminated waterways and to rely on them for recreation and food. Hazard exposure layers on top: ~675,500 people live in flood hazard zones and 12% of housing stock sits in flood areas, with social-vulnerability research identifying deprived, high-rental, single-parent neighbourhoods (Porirua East, Titahi Bay, Ascot Park) as least able to evacuate, insure or recover. Climate change will widen all three gaps. The Healthy Homes Standards show change is possible — private renters reporting they could heat their home comfortably year-round rose from 50% to 77% between 2020 and 2024 (Consumer NZ / MBIE) — but the environmental floor of deprivation remains: the families with the least money are still housed in the coldest rooms, beside the dirtiest water, on the most dangerous ground.

Why it drives poverty: Environmental deprivation is a self-reinforcing poverty trap. Cold, damp housing turns low income into chronic illness (asthma, respiratory infection, rheumatic fever) and high power bills, draining budgets and removing children from school and parents from work — entrenching the low income that produced the substandard home. Living beside degraded waterways and in flood-prone, uninsurable areas compounds this with health risk, displacement and asset loss that wealthier households avoid through better homes, insurance and mobility. Because exposure tracks tenure, ethnicity and NZDep so tightly, the environment converts existing inequality into worse health and entrenched disadvantage — making it both a measurable component of material hardship and one of its most powerful perpetuators.

Drew on: child-poverty-nz (Stats NZ MEASC material hardship, year ended June 2025), household-hardship-nz (regional material hardship and housing affordability/rent burden), lawa-nz (river ASPM macroinvertebrate ecological-health bands), safeswim-nz (beach/river water-quality RED/RED+ swim warnings), WebSearch (MBIE energy hardship, EHINZ housing-health, flood vulnerability, ethnic hardship figures)

Sources: Stats NZ — Child poverty statistics: Year ended June 2025 (MEASC material hardship), via child-poverty-nz skill: https://www.stats.govt.nz/assets/Uploads/Child-poverty-statistics/Child-poverty-statistics-Year-ended-June-2025/Download-data/child-poverty-statistics-year-ended-june-2025.zip; MBIE — Energy hardship measures, 2024 (cannot afford to keep home adequately warm; tenure and ethnicity splits), via Stuff/RNZ; Environmental burden of disease in NZ 2010-2017 (housing dampness/mould hospitalisations), PMC8085632; EHINZ / Natural Hazards Commission — flood hazard exposure and housing stock share, via climate vulnerability research 2024; Consumer NZ / MBIE — Healthy Homes Standards renter warmth survey, 2020-2024; LAWA river ecological-health (ASPM) data, via lawa-nz skill; SafeSwim water-quality warnings, via safeswim-nz skill

10. The Poverty Premium

confidence 8/10

In Aotearoa the poorest pay the most: credit-excluded households can lawfully pay double for a basic appliance, 11-17% more per unit of power on prepay, and 7.5%+ of their income on electricity versus under 1.5% for the well-off.

$349-$399 cash vs up to 2x borrowed

Cheapest washing machine in cash vs. the high-cost-credit ceiling: the law caps repayments at no more than twice the amount borrowed, so a $349-$399 machine can lawfully cost ~$700-$800+ before inflated sticker prices

The Warehouse NZ (live, the-warehouse-nz skill, 31 May 2026: Swift 6kg top-loader $349, Living & Co 5.5kg $399) + Community Law / FinCap on the 'twice the amount borrowed' high-cost-credit cap

$349 (The Warehouse) to $699+ (PriceSpy lowest LG 8kg)

Mainstream market range for a comparable washing machine bought outright with cash

the-warehouse-nz and nz-pricewatch skills (live, 31 May 2026)

11-17% more per unit

Prepay power customers pay more per unit than pay-monthly customers (Auckland ~11%, Wellington ~15%, Christchurch ~17%)

Consumer NZ, 'Prepay customers paying much more for power'

7.5%+ vs under 1.5%

Share of income spent on electricity: lowest-income vs highest-income households

Public Health Communication Centre (PHCC) / He Kainga Oranga, 'Energy poverty: the lowest-income households pay more in Aotearoa'

169,300 children (14.3%)

Children in material hardship (lacking 6+ of 17 essentials) - the population most exposed to the premium

Stats NZ, Child Poverty Statistics year ended June 2025 (child-poverty-nz skill, MEASC)

71,000 children (6.0%)

Children in severe material hardship (lacking 9+ of 17 essentials)

Stats NZ, Child Poverty Statistics year ended June 2025 (child-poverty-nz skill, MEASI)

~$10,000 average debt

Average debt of people seeing a FinCap financial mentor, typically across multiple unaffordable loans (200 services, ~70,000 people/year)

FinCap NZ (fincap.org.nz)

126,200 households nationally; 40,400 in Auckland

Households in material hardship nationally, concentrated in Auckland (40,400) where truck shops operate

Stats NZ Household Economic Survey, Household Wellbeing (household-hardship-nz skill)

Who bears it. The premium falls hardest on credit-excluded, low-income and benefit-dependent households - disproportionately Maori and Pacific families, sole parents, and people in South and West Auckland, where door-to-door mobile traders concentrate. Poor credit ratings push these same households onto prepay power (11-17% dearer per unit) and lock them out of the promotional discounts offered to postpaid customers. They overlap heavily with the 169,300 children in material hardship and 71,000 in severe hardship (Stats NZ, MEASC/MEASI, year ended June 2025). Auckland alone has 40,400 of the 126,200 households nationally in material hardship.

The poverty premium is the structural surcharge poor New Zealanders pay simply for being poor. It both expresses poverty - you can read it off the bill - and deepens it, draining the little cash there is. Four mechanisms dominate.

First, appliances. A household without $349-$399 in hand cannot buy the cheapest washing machine outright at The Warehouse (live pricing, 31 May 2026), so it turns to truck shops, rent-to-own or hire purchase. Even after the 2020 high-cost-credit reforms, the law only caps total repayments at twice the amount borrowed and interest and fees at 0.8% of the balance per day - so a basic machine can lawfully end up costing $700-$800+, on top of inflated truck-shop prices. Before reform, mobile traders charged effective rates above 500%; the Commerce Commission has since levied $1.56m in fines and refunds.

Second, energy: those least able to pay, pay most. Prepay customers - typically shut out of postpaid plans by poor credit - pay 11% (Auckland) to 17% (Christchurch) more per unit (Consumer NZ), while the lowest-income households spend over 7.5% of income on electricity against under 1.5% for the richest (PHCC/He Kainga Oranga), made worse by cold, damp housing that needs more heating.

Third, credit itself: FinCap's 200 services see ~70,000 people a year carrying an average $10,000 of unaffordable debt.

Fourth, the bulk-buying penalty: without a cash buffer you cannot tie up $50 in a sack of rice to capture the lower unit price. Mandatory unit pricing (online since 31 August 2025) makes the gap visible but gives poor households no cash to act on it.

The common thread is exclusion from cash and mainstream credit. Every workaround - door-to-door credit, prepay meters, small pack sizes, second-hand reliance - carries a markup the comfortable never see.

Why it drives poverty: The poverty premium is a self-reinforcing driver, not just a symptom. Because credit-excluded families pay roughly double for the same fridge or washing machine and 11-17% more per unit of power, a fixed-income household loses hundreds to thousands of dollars a year to the surcharge alone - money that could have covered the very essentials counted in Stats NZ's material-hardship measure (169,300 children, MEASC). High-cost credit then turns a one-off appliance need into months of repayments and the ~$10,000 average debt FinCap mentors see, pushing families from low income into hardship and from hardship into severe hardship (71,000 children, MEASI). It is a poverty trap: the premium extracts wealth precisely from those who have none, entrenching disadvantage rather than relieving it. Regulation - the high-cost-credit cap, truck-shop responsible-lending rules, mandatory unit pricing and Commerce Commission enforcement - has trimmed the worst excesses, but the premium persists wherever cash and mainstream credit stay out of reach.

Drew on: child-poverty-nz, household-hardship-nz, the-warehouse-nz, nz-pricewatch

Sources: Stats NZ - Child Poverty Statistics: Year ended June 2025 (via child-poverty-nz skill): https://www.stats.govt.nz/assets/Uploads/Child-poverty-statistics/; Stats NZ Household Economic Survey, Household Wellbeing (via household-hardship-nz skill); The Warehouse NZ live product pricing, 31 May 2026 (via the-warehouse-nz skill): https://www.thewarehouse.co.nz; PriceSpy NZ live appliance pricing (via nz-pricewatch skill): https://pricespy.co.nz; Consumer NZ - 'Prepay customers paying much more for power': https://www.consumer.org.nz/home-and-living/home-energy/prepay-customers-paying-much-more-for-power; Public Health Communication Centre / He Kainga Oranga - 'Energy poverty: the lowest-income households pay more in Aotearoa': https://www.phcc.org.nz/briefing/energy-poverty-lowest-income-households-pay-more-aotearoa; FinCap NZ - financial mentoring network (fincap.org.nz); Commerce Commission / Consumer Protection NZ / NZ Herald - mobile-trader enforcement reporting

11. Services & Social Infrastructure Access

confidence 8/10

Free public infrastructure — libraries, pools, community hubs — is the quiet buffer that makes NZ poverty survivable. It is thickest exactly where deprivation is highest, yet runs on staffing-dependent, Sunday-cut hours and is being thinned by council austerity.

169,300 children (14.3%, 95% CI 13.1–15.5)
Children in material hardship (lacking 6+ of 17 essentials — the population free infrastructure buffers most)
Stats NZ Child Poverty Statistics, year ended June 2025 (MEASC), via child-poverty-nz skill

71,000 children (6.0%, CI 5.3–6.7)
Children in severe material hardship (9+ of 17 lacking)
Stats NZ Child Poverty Statistics, year ended June 2025 (MEASI), via child-poverty-nz skill

6.75 million visits, with 14 million physical items and 5 million+ digital checkouts borrowed in a year across 56–62 branches
Auckland Libraries annual visits — the single most-used free public service
OurAuckland / Auckland Council Libraries Year in Review 2024–25

Ōtara West/Central/South/East all NZDep2023 decile 10 (scores 1229–1281); library, pool, markets, gallery and PostShop co-located within ~650m at Fair Mall

Ōtara social-infrastructure cluster sits in NZ's most deprived band

deprivation-nz (NZDep2023) + osm-nz + nzpost skills

Free swimming for all under-16s at Auckland Council pools from 1 April 2025; accompanying-adult fee for under-5s cut from $8.60 to $2

Free pool entry removing a cost barrier for low-income families

OurAuckland / aucklandleisure.co.nz 'Free swimming'; Indian Weekender (Mt Albert pricing)

Manurewa, Ōtara and Papatoetoe council pools post that hours 'may change due to staff availability'; Tōtara Park Pools (Manurewa) open summer only

Service thinning in the poorest catchments

nz-council skill (Auckland Leisure pool listings)

110,000 households could not afford to keep their home adequately warm (2022), concentrated among Māori, Pacific, renters and low-income households

Households unable to keep home adequately warm — the 'warm-space' demand libraries absorb

MBIE / govt, via RNZ and University of Auckland coverage 2024

Tauranga to close Greerton and Pāpāmoa libraries and Ōtūmoetai Pool on Sundays (2026/27 plan, ~$115k saving); Napier proposed closing its central library from 1 July 2025; cuts nationwide amid double-digit rates rises

Council austerity cutting the buffer

RNZ 'Libraries cut hours as councils face double-digit rates hikes'; RNZ Bay of Plenty

Who bears it. Material hardship — the lived condition free public infrastructure most directly cushions — affects 169,300 children (14.3%) and severely affects 71,000 (6.0%) (Stats NZ, year ended June 2025, via child-poverty-nz). Adult exposure tracks the same gradient: 110,000 households cannot afford adequate home heating (MBIE 2022), driving demand for libraries as free, warm, lit, connected daytime space. Access is spatially patterned by NZDep2023: of 32,746 SA1 areas, the most deprived 30% (deciles 8–10) hold ~29.7% of areas, and South Auckland's Ōtara sits entirely in decile 10 (scores 1229–1281). Those who depend most on free infrastructure are renters, Māori and Pacific families, sole-parent households, disabled people, and the 5–6% of households still without home internet — for whom the library is the internet, the printer, the WINZ/IRD form station, the school-holiday childcare of last resort, and the warm room.

Free and low-cost public infrastructure is the load-bearing, largely invisible buffer against poverty in New Zealand. It does not raise incomes, but it removes the price tag from things poor households otherwise go without: books and the internet (the library), exercise (council pools), and a warm, safe, supervised place to simply be (community hubs). Its scale is real. Auckland Libraries alone drew 6.75 million visits and lent 14 million physical plus 5 million-plus digital items in a single year (OurAuckland 2024–25), making libraries arguably the most-used universal public service after the footpath. Crucially, the network is densest where deprivation is highest. Using deprivation-nz I confirmed Ōtara West/Central/South/East are all NZDep2023 decile 10; using osm-nz and nzpost I found that within ~650m of central Ōtara (Fair Mall) sit the Ōtara Library, Ōtara Pool and Leisure Centre, Ōtara Markets, Fresh Gallery Ōtara, a community hall and the Ōtara PostShop — a genuine, walkable social-infrastructure cluster embedded in NZ's poorest decile. This is the system working: co-located, free or near-free, and reachable on foot or via the adjacent Ōtara Transport Centre. Deliberate cost-barrier removal reinforces it — from 1 April 2025 Auckland Council made swimming free for all under-16s and cut the supervising-adult fare for under-5s from $8.60 to $2 (aucklandleisure.co.nz), a cost-of-living and water-safety intervention aimed squarely at families who would otherwise not swim. Yet the same data exposes where the buffer is thinnest. The nz-council pool listings show the three pools serving the highest-deprivation South Auckland catchments — Manurewa, Ōtara and Papatoetoe — all carry the caveat that hours 'may change due to staff availability', and Tōtara Park Pools (Manurewa) operate only mid-December to February. The Ōtara PostShop, where low-income residents pay bills and collect parcels, closes every Sunday and shuts at 3pm Saturday (nzpost), and the Leys Institute (Ponsonby) library remains closed entirely. Above this sits a national austerity squeeze: RNZ reports libraries cutting hours and branches as councils face double-digit rates rises, with Tauranga moving to close Greerton and Pāpāmoa libraries and Ōtūmoetai Pool on Sundays (2026/27 plan, ~$115k saving) and Napier proposing to shut its central library from 1 July 2025. Because Sunday and evening hours are the first to go, and because shift-working, car-less, low-income families rely disproportionately on exactly those off-peak windows, austerity falls hardest on the households the infrastructure exists to protect — quietly converting a universal entitlement into a postcode lottery.

Why it drives poverty: Services and social infrastructure access is best understood as poverty's principal in-kind buffer, not a cause. Where it is thick, free, and open at the hours poor people can actually use it, it materially reduces the felt severity of low income: a warm library on a Sunday substitutes for a heating bill 110,000 households cannot pay; a free pool lets the 169,300 children in material hardship swim; a co-located hub like Ōtara's puts bill-paying, internet, books and exercise within one walkable cluster. But because the buffer is delivered through staffing-dependent hours and rates-funded budgets, council austerity erodes it precisely where it matters most — cutting Sunday and evening access in the highest-deprivation catchments and turning a universal entitlement into a postcode lottery.

Drew on: child-poverty-nz, deprivation-nz, osm-nz, nzpost, nz-council

Sources: Stats NZ Child Poverty Statistics, year ended June 2025 (MEASC, MEASI), via child-poverty-nz skill; OurAuckland / Auckland Council Libraries Year in Review 2024–25; deprivation-nz (NZDep2023) skill; osm-nz skill; nzpost skill; nz-council skill (Auckland Leisure pool listings); aucklandleisure.co.nz 'Free swimming'; Indian Weekender (Mt Albert pricing); MBIE / govt, via RNZ and University of Auckland coverage 2024; RNZ 'Libraries cut hours as councils face double-digit rates hikes'; RNZ Bay of Plenty

12. Macro, Fiscal & Inequality Context

confidence 7/10 · ⚠ logic flag

A renewed oil-driven inflation spike (CPI 3.1%, forecast above 4%), a stalled economy (annual GDP growth just 1.3%), 5.3% unemployment, an OCR held at 2.25% but set to rise, and an $11.4b Crown deficit together tighten the screws on the poorest households — with 210,600 children still below the anchored after-housing-costs poverty line and 169,300 in material hardship.

3.1%
Consumers Price Index annual inflation, March 2026 quarter (RBNZ forecasts it above 4% this year on the oil shock)
Stats NZ Consumers Price Index, March 2026 quarter (via stats-nz skill); RBNZ Monetary Policy Statement May 2026

2.25%
Official Cash Rate, held 27 May 2026 (RBNZ signals a first +0.25% hike likely before September)
RBNZ Monetary Policy decision 27 May 2026 (rbnz.govt.nz, via WebSearch)

1.3%
GDP annual growth (production measure), December 2025 quarter — near stall, +0.2% on the quarter
Stats NZ Gross Domestic Product, December 2025 quarter (via stats-nz skill)

5.3%
Unemployment rate, March 2026 quarter (163,000 people; youth 15-19 at 24.9%)
Stats NZ Labour Market Statistics, March 2026 quarter (via WebSearch)

$11.4 billion
Forecast OBEGALx Crown deficit 2026/27 (2.4% of GDP); surplus not until 2028/29
Treasury Budget Economic & Fiscal Update 2026, delivered 28 May 2026 (via WebSearch)

46.1% of GDP
Net core Crown debt, forecast peak 2027/28
Treasury Budget 2026 Fiscal Strategy (budget.govt.nz, via WebSearch)

210,600 (17.8%)
Children below 50% of median income after housing costs (anchored line, MEASB), year to June 2025
Stats NZ Child Poverty Statistics, year ended June 2025 (via child-poverty-nz skill)

608,300 (~33%)
NZ households reporting income is 'not adequate' to meet everyday needs (of 1.86m total)
Stats NZ Household Economic Survey, Household Wellbeing (via household-hardship-nz skill)

Who bears it. The macro burden falls hardest on low-income and benefit-dependent households, renters, Maori and Pacific whanau, sole-parent families and young people. A national Gini coefficient of 39.7 (disposable household income, Stats NZ HES Household Wellbeing) masks regional spread: Auckland, at 43.4, is the most unequal region, and Southland, at 33.9, the least. Nationally, 309,800 households sit on low incomes after housing costs, and roughly one in three households (608,300) say their income is not adequate to meet everyday needs. The oil shock is regressive: fuel, food and airfares absorb a larger share of poor households' budgets, so above-4% headline inflation bites them harder than the average. Youth bear the labour-market cost — unemployment of 24.9% for 15-19 year-olds against the 5.3% national rate.

As at 31 May 2026, New Zealand's macro tide is running against the poorest. After the disinflation of 2024-25, a Middle East oil shock has reignited price pressure: CPI inflation was 3.1% in the year to March 2026 (Stats NZ), and the RBNZ now forecasts it above 4% this year, driven by fuel and fuel-intensive goods such as food and airfares (RBNZ Monetary Policy Statement, May 2026). On 27 May the Reserve Bank held the OCR at 2.25% but signalled hikes starting before September — closing the brief window of falling debt-servicing costs for mortgaged and indebted households. The real economy offers no offset: GDP grew just 1.3% in the year to December 2025 and a near-flat 0.2% on the quarter (Stats NZ), with unemployment at 5.3% in the March 2026 quarter (163,000 people) and youth joblessness far higher. This is a classic stagflationary squeeze — weak growth and a cooling labour market on one side, renewed inflation on the other — and it transmits directly into poverty. Inflation erodes the real value of benefits and the minimum wage; a soft labour market closes off the work pathway out of hardship; and rising rates lift the housing costs that already drive the gap between before- and after-housing-cost poverty (210,600 children below the anchored AHC line versus 148,700 on the BHC line, Stats NZ Child Poverty Statistics, year to June 2025). Fiscally, the room to respond is constrained. Treasury's Budget 2026 (28 May) forecasts an OBEGALx deficit of $11.4 billion (2.4% of GDP) for 2026/27, with net core Crown debt peaking at 46.1% of GDP in 2027/28 before a planned return to surplus by 2028/29 — a 3.5%-of-GDP consolidation built on spending restraint and new revenue, including a bank levy. That path means fiscal policy is tightening into a downturn, limiting the automatic-stabiliser support reaching low-income families even as 608,300 households already report inadequate income (Stats NZ HES Household Wellbeing) and 169,300 children are in material hardship (Stats NZ). Inequality remains structurally embedded: a national Gini of 39.7, highest in Auckland (43.4), lowest in Southland (33.9), with low-income households concentrated in high-cost regions.

Why it drives poverty: This dimension supplies the report's macro spine: it explains WHY poverty is rising or sticky right now, not just how many are poor. The oil-shock inflation spike (3.1% heading above 4%) and the OCR turn (2.25%, hikes pending) are the live mechanisms eroding real incomes and housing affordability for the bottom decile; the stalled economy (1.3% GDP, 5.3% unemployment) closes the work exit; and the fiscal numbers ($11.4b deficit, 46.1% debt peak, consolidation to 2028/29) set the ceiling on how much the state can cushion the blow. Together these levers determine the tide against which every child-poverty, hardship and benefit number in the rest of the report must be read — and they identify the regressive incidence (renters, beneficiaries, youth, Maori and Pacific, high-Gini regions) that the lived-experience chapters then document.

Drew on: stats-nz, child-poverty-nz, household-hardship-nz

Sources: Stats NZ — Consumers Price Index, March 2026 quarter (annual 3.1%), via stats-nz skill: https://www.stats.govt.nz/information-releases/; Stats NZ — Gross Domestic Product, December 2025 quarter (annual 1.3%, quarterly 0.2%), via stats-nz skill; Stats NZ — Labour Market Statistics, March 2026 quarter (unemployment 5.3%, 163,000), via WebSearch: https://www.stats.govt.nz/news/unemployment-rate-at-5-3-percent-in-the-march-2026-quarter/; Stats NZ — Child Poverty Statistics, year ended June 2025 (MEASB

210,600/17.8%; MEASC 169,300/14.3%; MEASA 148,700/12.6%; MEASI 71,000/6.0%), via child-poverty-nz skill; Stats NZ — Household Economic Survey, Household Wellbeing release (Gini 39.7 national, 43.4 Auckland, 33.9 Southland; 608,300 households income not adequate; 309,800 low-income households AHC), via household-hardship-nz skill; RBNZ — Monetary Policy Statement and OCR decision, 27 May 2026 (OCR 2.25%, inflation forecast above 4%), via WebSearch; Treasury — Budget 2026 / Budget Economic & Fiscal Update, 28 May 2026 (OBEGALx deficit $11.4b/2.4% of GDP; net core Crown debt peak 46.1% 2027/28; surplus 2028/29), via WebSearch

13. Policy, Programmes & Sentiment

confidence 9/10

Budget 2026 leaves NZ's anti-poverty architecture treading water: the in-work tax credit rose $50/week but excludes the poorest children on benefits, Treasury concedes it will miss all but one of its 2027 child-poverty targets, and 48,000 more children fell into poverty over three years even as cost of living tops every poll.

169,300 children / 14.3% (95% CI 13.1-15.5)
Children in material hardship (lacking 6+ of 17 DEP-17 items, MEASC, year to June 2025)
Stats NZ Child poverty statistics: Year ended June 2025, via nz-skills child-poverty-nz skill

71,000 children / 6.0% (95% CI 5.3-6.7)
Children in severe material hardship (lacking 9+ items, MEASI, year to June 2025)
Stats NZ Child poverty statistics: Year ended June 2025, via nz-skills child-poverty-nz skill

101,600 children / 8.6% (95% CI 7.5-9.6)
Children low-income AND in hardship (combined, MEASJ, year to June 2025)
Stats NZ Child poverty statistics: Year ended June 2025, via nz-skills child-poverty-nz skill

+$50/week
Temporary in-work tax credit increase from 1 April 2026 (excludes children of beneficiaries)
Beehive/RNZ 'Budget 2026 a washout for struggling families', 28 May 2026; CPAG via Scoop

$45m food; $93m (~25,000 sole parents); $22m housing
Budget 2026 child-poverty-relevant spends: community food/school breakfasts; single-parents-to-work; emergency-housing prevention
RNZ 'Budget 2026 a washout for struggling families', 28 May 2026

48,000 more children; 1 of 3 modelled targets met
Children who fell into poverty over the last three years; Treasury misses all but one 2027 target
RNZ 28 May 2026 (Salvation Army / CPAG); CPAG via Scoop

$20.46/wk (~$449) single; $31.82/wk (~$698) couple
Winter Energy Payment 2026 (1 May-1 Oct), single vs couple/with-children
Work and Income via Selectra NZ Winter Energy Payment 2026

~61% cost of living; 17% poverty/ inequality
Voters naming cost of living as a top-3 concern; poverty/ inequality named
Ipsos NZ Issues Monitor May 2026, via Spinoff/Waatea

Who bears it. Poverty falls hardest on children in beneficiary households, sole-parent families, and Maori and Pacific communities. The sharpest policy fault-line is the Working for Families in-work tax credit: its $50/week Budget 2026 boost flows to working families but deliberately excludes children whose parents rely on a main benefit (Jobseeker, Sole Parent Support, Supported Living Payment) - the children at greatest risk of severe hardship. Stats NZ counts 71,000 children in severe material hardship and 101,600 in the combined low-income-and-hardship measure (year to June 2025, child-poverty-nz skill). Regionally, the most recent Stats NZ Household Economic Survey (2020-21, household-hardship-nz skill) put about 126,200 households in material hardship, concentrated in Auckland (40,400), Waikato (16,400), Canterbury (12,200) and Bay of Plenty (11,400). Spinoff/RNZ Budget coverage shows Maori advocates (Te Pati Maori, Te Pai Ora SSPA) framing the Budget as prioritising defence, prisons and infrastructure over cost-of-living relief, with whanau 'making impossible choices between fuel, groceries or medical appointments.'

New Zealand's anti-poverty policy in mid-2026 is a large but static machine. The core income supports remain: Working for Families (in-work tax credit lifted a temporary $50/week from 1 April 2026), the

Winter Energy Payment ($20.46/week single, $31.82/week couple or with children, 1 May-1 Oct 2026; roughly $449 and $698 over winter), the FamilyBoost childcare rebate (up to $240), and the Healthy School Lunches programme (rebranded from Ka Ora, Ka Ako; funded for 2025-26 with a 6% per-meal inflation lift to a 240g lunch and about $130m of 'smarter' savings, per Beehive/Ministry of Education). Budget 2026, delivered by Finance Minister Nicola Willis on 28 May 2026, added only marginal anti-poverty money: $45m for community food and school breakfasts, $93m to move about 25,000 sole parents toward work, and $22m to prevent emergency-housing need (RNZ).\n\nThe expert verdict is that this 'doesn't move the dial.' Treasury's own modelling shows the government will miss all but one of its 2027 child-poverty targets and is 'miles away' from 2028 targets, even after the targets were lowered (CPAG via Scoop; RNZ). Salvation Army's Dr Bonnie Robinson said the Budget does 'nothing to change that... for some people things are probably going to get worse,' and CPAG's Isaac Gunson called it 'gutting' that the government fails to clear even a lowered bar. The structural driver is the Working for Families design: the $50 in-work tax credit excludes children of beneficiaries - the very children Stats NZ records in severe hardship (71,000) and in the combined low-income-plus-hardship measure (101,600). Other settings pull the wrong way: 84,000 social-housing tenants face rent rising from 25% to 30% of income from April 2027, food banks got only one-year funding despite about 40% higher demand, and a Bill rushed through under urgency lets MSD automate benefit decisions, projected to cut $55m from benefit payments (Newsroom, 29 May 2026).\n\nPublic and political sentiment frames all of this. The Ipsos NZ Issues Monitor (fieldwork 15-20 May 2026, n=1,001, via Spinoff) shows cost of living as the dominant concern for about 61% for a fourth straight year, with poverty/inequality named by roughly 17% - persistent but secondary to inflation, petrol (up sharply to 26%) and healthcare. Labour leads National on perceived competence on cost of living and poverty (35% vs 28%). With 165 days to a November 2026 election, poverty is salient but contested: the coalition frames austerity and 'balanced books' as the route to prosperity, while opposition and community-sector voices (Te Pati Maori's 'have-nots and have-yachts', the Greens, Te Pai Ora SSPA) argue the Budget manages the symptoms of inequality rather than its causes.

Why it drives poverty: Policy is at once the main lever against poverty and, in 2026, a force that expresses and entrenches it. The Working for Families exclusion of beneficiary children is the single largest policy-design driver keeping severe child hardship high (71,000 children, Stats NZ): transfers are routed away from the poorest by rule, not accident. Budget 2026's choices - one-year-only food-bank funding against about 40% higher demand, social-housing rents rising from 25% to 30% of income for 84,000 tenants, and automated benefit decisions to save $55m - all tighten income at the bottom. The programmes that do reach the poorest, including the Winter Energy Payment, school lunches, and the $45m food/breakfast and $22m emergency-housing-prevention spends, blunt the worst deprivation but are too small to shift the headline measures, which is why Treasury still projects all but one 2027 child-poverty target missed.

Drew on: child-poverty-nz, household-hardship-nz

Sources: Stats NZ Child poverty statistics: Year ended June 2025, via nz-skills child-poverty-nz skill; Stats NZ Household Economic Survey 2020-21, via nz-skills household-hardship-nz skill; RNZ 'Budget 2026 a washout for struggling families', 28 May 2026; CPAG via Scoop; Beehive / Ministry of Education (Healthy School Lunches; Budget 2026); Work and Income via Selectra NZ Winter Energy Payment 2026; Newsroom, 29 May 2026 (MSD benefit automation); Ipsos NZ Issues Monitor May 2026, via Spinoff/Waatea

14. Persistent & Intergenerational Poverty

confidence 9/10

Around 102,000 New Zealand children are simultaneously low-income AND in material hardship — the "hard core" of poverty that does not move with the economic cycle and

tends to repeat across generations, falling hardest on disabled, Maori and Pacific households

101,600 children (8.6%; 95% CI 7.5-9.6%)
Children in BOTH low income (AHC<60%) AND material hardship (MEASJ combined) — the persistent hard core
Stats NZ, Child poverty statistics: Year ended June 2025

71,000 children (6.0%; CI 5.3-6.7%) — up from 4.0% in 2022
Children in severe material hardship (MEASI, lacking 9+ of 17 DEP-17 items)
Stats NZ, Child poverty statistics: Year ended June 2025

27.5% (100,200 children) vs 8.4% — over 3x higher
Material hardship rate — children in a disabled household vs non-disabled household
Stats NZ, Child poverty statistics: Year ended June 2025 (MEASC by household disability)

Pacific 31.0% (54,400), Maori 25.1% (76,900) vs European 11.5% (counts non-additive)
Material hardship by ethnicity — Pacific and Maori children vs European
Stats NZ, Child poverty statistics: Year ended June 2025 (MEASC by ethnicity)

697,000 people
New Zealanders experiencing persistent disadvantage (multiple domains, sustained)
NZ Productivity Commission / Treasury, A Fair Chance for All, 2023

223 weeks (over 4 years); Work Ready 116 weeks
Average continuous time on Jobseeker Support — Health Condition/Disability stream
MSD benefit data, December 2024 (via Newsroom, 2025)

213,321 (end Dec 2024)
People receiving Jobseeker Support
MSD Benefit Fact Sheets (via Newsroom, 2025)

39.7 (CI 39.0-40.4; older HES vintage, structural context)
Gini coefficient of disposable household income inequality (national)
Stats NZ Household Economic Survey, Household Wellbeing

Who bears it. National. The combined low-income-and-hardship core covers 101,600 children (8.6% of all NZ children; Stats NZ, year-ended June 2025); separately, 697,000 New Zealanders experience persistent disadvantage across multiple domains (NZ Productivity Commission/Treasury, 2023). Concentrated in disabled households, sole-parent households, public renters, and Maori and Pacific families.

Persistent and intergenerational poverty is the part of the problem that does not fix itself when the economy turns. Stats NZ measures it directly through its combined indicator (MEASJ): children who are BOTH in a low-income household (after housing costs, below 60% of the median) AND in material hardship. In the year ended June 2025 that hard core stood at 101,600 children — 8.6% of all Kiwi kids. This is the lived-experience floor of poverty: families short of cash and going without essentials at the same time, not just one or the other.

Two things make it persistent. First, it is not improving — it is climbing. The combined measure fell from 8.8% (2018) to a pandemic-era low of 5.8% (2022) during the income-support period, then rose every year since: 6.8% (2023), 7.8% (2024), 8.6% (2025) (Stats NZ). Severe material hardship — children lacking 9 or more of 17 basic DEP-17 items — tells the same story: 4.0% in 2022, now 6.0% (71,000 children) in 2025 (Stats NZ). In relative terms the severe end has grown about as fast as the combined headline — both are roughly half again as large as in 2022 — so the deepest deprivation is rising in step with the broader measure rather than easing off.

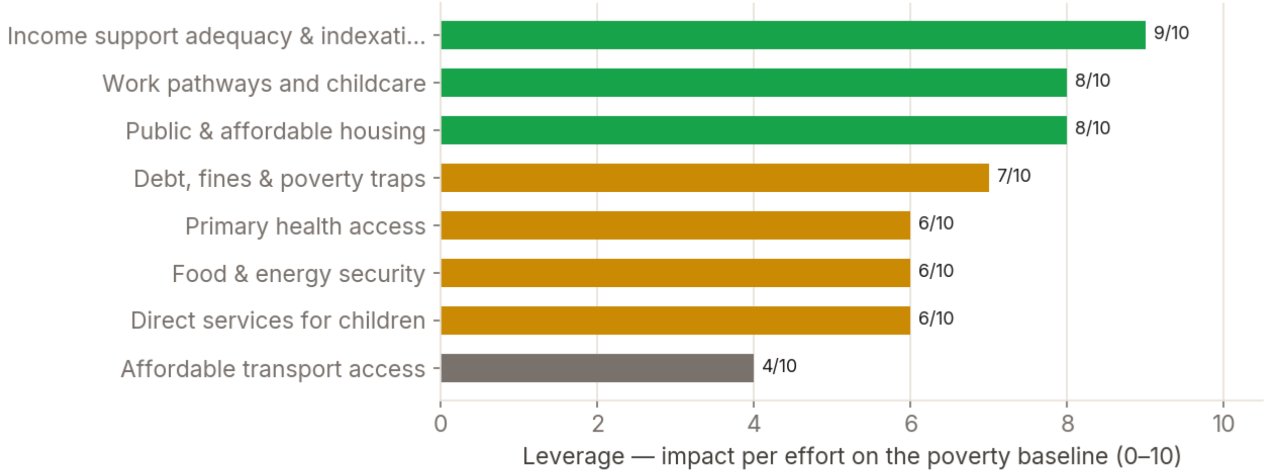
Second, the same households carry it year after year and pass it down. The NZ Productivity Commission's A Fair Chance for All inquiry (Treasury, 2023) found 697,000 New Zealanders experience persistent disadvantage, with the highest rates among public renters, households with no high-school qualifications, and sole-parent, Pacific, Maori and disabled-people households. Treasury's quantitative work and the long-running Dunedin and Christchurch longitudinal studies link lower childhood family income to higher adult disadvantage: children who grew up in poverty carry greater risks of poor adult health, lower qualifications and benefit receipt — the mechanism by which a poor childhood becomes a poorer adulthood. Long benefit durations make this concrete: the average continuous time on the Jobseeker Support Health Condition/Disability stream is 223 weeks — over four years (MSD, Dec 2024) — meaning disability and ill-health lock families into low income for years, not months.

Data caveats: msd-benefits-nz is a frozen Dec-2019 release, so current benefit figures here come from MSD's published fact sheets via 2025 reporting, not that skill. The Gini coefficient (39.7) and regional hardship counts derive from the Household Economic Survey Household Wellbeing release, an older HES vintage than the 2025 child-poverty figures, and are used as structural context rather than current-year levels. The ethnicity counts are not additive: Stats NZ ethnicity is multi-response and households overlap, so the Pacific (54,400) and Maori (76,900) figures must never be summed into a combined total.

Why it drives poverty: This dimension is the baseline-challenge core of the report: it identifies WHO stays poor and WHY poverty reproduces. Disability is the single strongest marker — children in disabled households face 27.5% material hardship versus 8.4% in non-disabled households, over three times higher — and disability also drives the longest benefit durations (223 weeks on the JS Health/Disability stream), making it both a cause and a consequence of entrenched poverty. Ethnic concentration (Pacific 31.0%, Maori 25.1% vs European 11.5% material hardship) shows the hard core is not randomly distributed but channelled through sole-parent, public-renter, low-qualification and disabled households — the exact groups the Productivity Commission flags for persistent disadvantage. The rising severe-hardship trend (4.0% to 6.0% since 2022) signals the persistent floor is deepening, not lifting: cyclical or one-off measures will not reach it, and only sustained, structural support for these specific households will.

Sources: Stats NZ, Child poverty statistics: Year ended June 2025 (CSV release) — combined low income+hardship (MEASJ) 101,600/8.6%; severe material hardship (MEASI) 71,000/6.0%; trends 2013-2025; via child-poverty-nz skill: https://www.stats.govt.nz/assets/Uploads/Child-poverty-statistics/Child-poverty-statistics-Year-ended-June-2025/Download-data/child-poverty-statistics-year-ended-june-2025.zip; Stats NZ, Child poverty statistics Year ended June 2025 — material hardship (MEASC) by household disability (27.5% vs 8.4%) and ethnicity (Pacific 31.0%, Maori 25.1%, European 11.5%); via child-poverty-nz skill; NZ Productivity Commission / The Treasury, A Fair Chance for All — Breaking the cycle of persistent disadvantage, June 2023 (697,000 New Zealanders in persistent disadvantage): https://www.treasury.govt.nz/publications/final-report-fair-chance-all-breaking-cycle-persistent-disadvantage; The Treasury, A quantitative analysis of disadvantage and how it persists, July 2023: https://www.treasury.govt.nz/publications; MSD Benefit Fact Sheets / benefit data, December 2024 (Jobseeker Support 213,321; average continuous duration 223 weeks Health/Disability, 116 weeks Work Ready) via Newsroom 2025; Stats NZ Household Economic Survey, Household Wellbeing — Gini coefficient 39.7; via household-hardship-nz skill

What works — ranked by leverage



Each lever rated for impact per effort on the poverty baseline — the evidence-led case for where to act first.

Income support adequacy & indexati...

leverage 9/10

How it works: Three compounding mechanisms. (1) INDEXATION: NZ switched main-benefit indexation from net-average-wage growth to CPI in 2024 (pushed through under urgency). Because wages historically rise faster than CPI — and beneficiary household costs rise faster still (Stats NZ Household Living-Costs: 6.2% for beneficiary households vs 4.7% CPI in the year to Dec 2023) — CPI-indexation locks in a widening real gap every year. The 1 April 2026 uplift used CPI of 3.11%, lifting single Jobseeker (25+) from $361.32 to $372.55/wk. (2) RATE ADEQUACY vs WEAG: even post-April, single Jobseeker (~$337 net on RNZ's basis) sits below the ~$373 the 2019 Welfare Expert Advisory Group recommended; CPAG's 'Below the Income Floor' modelling finds single adults on Jobseeker/SLP ~$100/wk short and couples-with-two-children ~$300+/wk short of basic-needs costs, with the gap worsening from 2025 on. (3) WfF DESIGN: the Budget-2026 $50/wk in-work tax credit boost (from 1 April 2026, ~143,000 working families) explicitly EXCLUDES beneficiary children — precisely the poorest. Lifting benefit floors and removing the work-test on child credits puts cash directly into the budgets of the families furthest below the AHC line, the most direct dial on income-poverty measures.

Evidence: see evidence field

Estimated impact: High and direct on income measures, partial on hardship. Restoring wage-indexation reverses the structural drift: avoids the MSD-estimated ~7,000-child increase on each low-income measure by 2028 and compounds favourably thereafter (low effort, automatic). Extending the in-work/WfF child credits to beneficiary children is the highest-yield single move: it targets the ~101,600 low-income-AND-hardship children and the ~6-in-10 poor kids with a working parent who fall through the work-test gap — credibly shifting tens of thousands of children above the AHC<50% line (cf. the 2018 Families Package, which moved ~tens of thousands). Lifting rates to the WEAG benchmark (~$36/wk for single Jobseeker, $100-$300/wk for families per CPAG) would close most of the modelled income-floor deficit and is the only lever that plausibly hits the 2027/2028 targets Treasury says will otherwise be missed. Cash transfers also feed straight into the food, energy and housing-cost drivers (a Jobseeker spends ~23% of benefit on a nutritious diet before rent), so hardship (MEASC) eases with a lag.

Cost: High — the highest-cost lever assessed. Indexation reform itself is administratively trivial (automatic, no reapplication) and cheap in low-wage years; rate uplifts to WEAG and de-work-testing WfF child credits are the expensive components (estimated hundreds of millions to low billions per year), competing directly with the Crown deficit. Effort to legislate is low-moderate (the 2024 change was done under urgency, showing the same speed is available to reverse it).

Trade-offs: Fiscal: this is the costliest lever — main-benefit + WfF spend is multi-billion; full WEAG-level uplift plus de-work-testing child credits runs into hundreds of millions to low billions/yr, against an $11.4b Crown deficit and an election-year 'grown-up Budget'. Wage-indexation is near-zero extra cost in low-wage-growth years but costly when wages outpace CPI (the whole point). Political: framed as 'work incentives' — the in-work credit is deliberately work-tested; removing that is contested, though evidence that ~60% of poor children already have a working parent and that even 60 hrs of minimum-wage work won't clear the income floor (CPAG) undercuts the incentive argument. Abatement: high effective marginal tax rates as benefits/WfF abate can blunt work returns — needs paired abatement-threshold and rate redesign or gains are clawed back. Inflation/macro: broad cash injection in a 3.1%+ CPI environment carries a modest demand-side risk, but transfers to the poorest are largely spent on essentials already in the index. Distribution: cleanly progressive — benefits Maori, Pacific, disabled and sole-parent tamariki who are over-represented in hardship.

Who benefits: The poorest and most concentrated cohorts: the ~210,600 children below the anchored AHC<50% line and ~169,300 in material hardship; especially the ~101,600 low-income-AND-hardship 'hard core' children; beneficiary families currently excluded from the in-work tax credit; sole parents (Sole Parent Support $521.52/wk from April), disabled people on Supported Living Payment, and the ~409,575 working-age main-benefit recipients. Over-represented: Maori, Pacific, disabled and sole-parent households. Wage-indexation specifically protects long-term recipients from cumulative real erosion.

Public & affordable housing

leverage 8/10

How it works: Housing costs are NZ's single largest poverty multiplier. The official after-housing-costs measure is far worse than the before-housing-costs one: on the anchored AHC<50% line 210,600 children are in poverty (MEASB, 17.8%) versus 148,700 on the BHC<50% line (MEASA, 12.6%) — the ~62,000 gap is poverty manufactured by housing costs (Stats NZ, year-ended June 2025, via child-poverty-nz). Income-related rent (IRRS) caps a tenant's rent at ~25% of net income and the state pays the gap to market rent; this is a structural fix that directly collapses a household's after-housing-costs gap, which is where hardship is generated. There were 83,576 IRRS+market-rent social tenancies and 83,550 public homes as at 31 March 2025 (HUD via public-housing-nz). The competing instrument, the Accommodation Supplement, is a cash top-up to 769,954 recipients costing ~$84.9m/week (~$4.4bn/yr) as at Dec 2024 (HUD via public-housing-nz) — but international evidence cited by MSD/Salvation Army finds landlord capture of 30–78%, so a large share leaks into rents rather than reaching tenants. Moving households from AS into IRRS converts a leaky cash subsidy into a guaranteed rent cap. For the severe end (112,496 severely housing-deprived; 71,000 children in severe material hardship, MEASI), Housing First delivers sustained tenancies and large downstream gains: Sustaining Tenancies costs ~$4,800/whānau/yr versus ~$56,000/yr for emergency housing, and a 5-year NZ cohort (n=357) showed +38% income and large falls in hospitalisations, mental-health nights and criminal charges (Housing First Auckland; IJOH).

Evidence: STRONG on direction, MODERATE on magnitude. (1) AHC vs BHC poverty gap is directly measured: 210,600 vs 148,700 children (Stats NZ year-ended June 2025, via child-poverty-nz) — housing costs demonstrably the swing factor. (2) IRRS structurally caps rent at ~25% net income, below the 30% affordability threshold (HUD; MSD Social Policy Journal) — the mechanism is causal, not correlational, for tenants who get a place. (3) AS landlord capture 30–78% (MSD review cited by Salvation Army Rental Affordability Report 2025) weakens the cash-subsidy alternative — robust international finding. (4) Housing First NZ: 5-year administrative-data cohort, +38% income, reduced hospitalisations/justice contact (IJOH; Housing First Auckland) — strong quasi-experimental evidence; global RCT meta-analysis confirms housing-stability gains. (5) Register fell to 19,431 (Sept 2025, down 11.5% y/y; MSD via WebSearch) but largely via emergency-housing exits and tighter gateway, NOT supply growth. SUPPLY HEADWIND: Kāinga Ora build programme paused — ~3,500 consented homes scrapped, plan to sell ~800/demolish 700/build 1,500 a year giving NO net increase in state housing from 2026 (RNZ; Beehive; Kāinga Ora via WebSearch). So the highest-leverage instrument is the one currently being throttled.

Estimated impact: Closing the AHC-vs-BHC gap is the prize: roughly 62,000 children sit in poverty purely because of housing costs (210,600 AHC anchored minus 148,700 BHC, Stats NZ via child-poverty-nz). Each additional IRRS place removes one low-income household's after-housing-costs gap almost entirely (rent capped at ~25% net income). At current build rates this is slow: even the pre-pause additions were ~2,650 net homes over two years to June 2026 (Kāinga Ora) against a 19,431 register and 769,954 AS-dependent households. Illustrative: shifting ~30,000–50,000 households from market-rent/AS into IRRS over a decade could plausibly lift 20,000–40,000 children clear of the AHC<50% line and cut severe hardship concentration — but only if supply actually grows. Housing First scaled to clear a meaningful share of the 112,496 severely housing-deprived would shrink the 71,000-child severe-hardship (MEASI) and 101,600 combined low-income-and-hardship (MEASJ) "hard core". Without net supply growth, the lever's realised impact on the baseline is currently near zero — the structural potential is high, the current trajectory is flat-to-negative.

Cost: HIGH and capital-intensive, but partly a reallocation. Accommodation Supplement already costs ~$84.9m/week (~$4.4bn/yr) for 769,954 recipients (HUD via public-housing-nz) with 30–78% landlord capture — so a chunk of IRRS expansion is fundable by converting leaky AS spend into rent-capped tenancies. Each net new IRRS place carries land+build/acquisition capital (hundreds of $k) plus the ongoing market-rent-minus-25%-income subsidy. Housing First is cheap per outcome at the severe end: ~$4,800/whānau/yr Sustaining Tenancies vs ~$56,000/yr emergency housing (Housing First Auckland) — a clear cost-avoidance case. The dominant cost barrier today is the paused build pipeline, not operating subsidy.

Trade-offs: (1) Fiscal/time lag: building/acquiring IRRS stock costs capital up front and takes years; AS pays out immediately, which is why governments lean on it despite leakage. (2) The current build programme is paused (no net state-housing increase from 2026), so the lever is politically and fiscally constrained right now — the binding constraint is supply, not evidence. (3) IRRS is rationed: ~83,576 places for a far larger eligible population means a queue and equity concerns (in-kind to the lucky few vs cash to all — MSD's classic equity tension). (4) AS reform to curb landlord capture (e.g. tying to supply, regional caps) risks reducing support to existing recipients if mishandled. (5) Register falling to 19,431 can be read as success or as gatekeeping/emergency-housing churn — the headline number can mislead. (6) Housing First needs wrap-around services and absolute housing supply; it competes for the same scarce stock. (7) Concentrated benefit: Māori, Pacific, disabled and sole-parent households are over-represented in both hardship and the register, so well-targeted supply is strongly equity-positive — but poorly sited supply can entrench deprivation geography.

Who benefits: Low-income renting households with children — disproportionately Māori, Pacific, disabled and sole-parent families, who are over-represented on the 19,431-strong register and in the 169,300 children in material hardship. IRRS expansion benefits those allocated places (the deepest-poverty AHC households); AS anti-capture reform benefits the 769,954 current recipients; Housing First targets the 112,496 severely housing-deprived. Geographically concentrated in high-register areas — Kawerau (93/10k), Rotorua (95/10k), Opotiki (87/10k), Napier (79/10k), South Auckland (Manurewa, Māngere-Ōtāhuhu) and Porirua/Whanganui (HUD local-stats and AS data via public-housing-nz).

Work pathways and childcare

leverage 8/10

How it works: Three linked sub-levers. (1) DECOUPLE THE IWTC FROM WORK STATUS. The IWTC (lifted a temporary $50/week from 1 Apr 2026 via Budget 2026, fuel-price-linked, ~$373m one-off for ~143,000 working families plus ~14,000 newly eligible, per Beehive) is paid only to families with paid work and NOT on a main benefit, structurally excluding ~200,000 of the poorest children, disproportionately Maori, Pacific and disabled (CPAG; Univ Auckland). Because ~6 in 10 poor children already have a working parent (driver) and a record 409,575 working-age adults are on a main benefit (driver), the binary in-work/benefit gate no longer maps onto who is poor. Extending the IWTC to ALL low-income children directly raises incomes of the hard core (101,600 children both low-income AND in material hardship, MEASJ, Stats NZ YE

June 2025). (2) FLATTEN ABATEMENT TRAPS. WFF abates at 27.5% above $44,900 from 1 Apr 2026 (up from 27% above $42,700), stacking on income tax into high effective marginal tax rates that blunt extra hours (Regulation.govt.nz RIS; OECD Taxing Wages 2026). (3) CHILDCARE AS EMPLOYMENT ENABLER. FamilyBoost (up to $75/week, household income <$57,286/quarter, IRD) and the WINZ Childcare Subsidy (up to $6.52/hr/child, MyECE) lower the childcare wall that makes returning to work financially neutral or negative for parents of under-3s (MoneyBalance) — the binding constraint for sole parents and young women (18.6% of women 20-24 NEET, ~1 in 3 caregiving; RNZ/MBIE).

Evidence: BASELINE (Stats NZ child poverty YE June 2025, via child-poverty-nz MCP): material hardship MEASC 169,300/14.3%; severe MEASI 71,000/6.0%; combined low-income+hardship MEASJ 101,600/8.6%; anchored AHC<50% MEASB 210,600/17.8%. Hardship concentrated: Pacific 31.0% (54,400), Maori 25.1% (76,900) vs European 11.5%, Asian 5.9% — the children most excluded from the IWTC. WHAT WORKS: EITC/CTC evidence shows refundable in-work credits cut poverty and aid child development, and extending the credit to the lowest-income families yields the largest poverty reduction with employment effects far smaller than feared (CBPP; ITEP). NZ-specific: 2007-2015 children in workless households had poverty rates 6-7x higher than working-household children, a gap CPAG attributes directly to WFF favouring working families — the gating IS the poverty mechanism. CPAG costs IWTC extension to all low-income children at ~$500-600m/yr and calls it highly cost-effective at lifting children out of severe poverty. Caregiving is a measured driver of young-women NEET (RNZ/MBIE).

Estimated impact: MODERATE-HIGH on hardship, especially the severe/combined tail. Extending the IWTC (~$500-600m/yr, CPAG) targets the same population as MEASJ (101,600 children low-income AND in hardship) and MEASI (71,000 severe) — the cohort that does not move with the cycle. A permanent ~$50-100/week transfer to excluded families would plausibly shift tens of thousands of children above the anchored AHC<50% line (MEASB 210,600) and cut hardship counts, since DEP-17 hardship is highly income-elastic at the bottom. Precise NZ "children lifted out" modelling was not in sources, so this is directional. Treasury concedes Budget 2026 will miss all but one 2027 child-poverty target (driver), implying current work-gated tools are NOT moving the baseline. Childcare/abatement fixes are second-order on the poverty COUNT but first-order on durability — converting one-off transfers into sustained earnings, the only exit from intergenerational poverty. Cost: ~$500-600m/yr ongoing for IWTC extension; net package with abatement relief and childcare likely $0.7-1.0b/yr. Who benefits: the ~200,000 IWTC-excluded children, 101,600 in MEASJ, 71,000 in severe hardship, over-represented Maori/Pacific/disabled and sole-parent families, plus sole parents and young women blocked from work by caregiving.

Trade-offs: COST: ~$500-600m/yr ongoing (CPAG) against an $11.4b deficit and 1.3% GDP growth (drivers) — fiscally heavy and politically contested. WORK-INCENTIVE OBJECTION: decoupling the IWTC from work removes its make-work-pay rationale; EITC/CTC evidence finds employment effects small and outweighed by child gains (CBPP). The Budget 2026 boost was part-funded by income-testing Best Start above $79,000 (Beehive) — extension at scale needs a real funding source, not clawbacks from other low-income families. CHILDCARE: FamilyBoost rebates partly capitalise into provider fees without fee regulation. ABATEMENT reform is near zero-sum fiscally, and Budget 2026's 0.5ppt rise to 27.5% actually WORSENED the marginal trap. NEET/childcare-supply problems (provider shortages; regional NEET up to 42.8% in Opotiki) are not solved by transfers alone.

Debt, fines & poverty traps

leverage 7/10

How it works: The state itself is a major creditor of the poor, and recovery is deducted before families ever see the money. MSD debt reached $2.61b across ~623,541 people by March 2024, up from $1.536b in 2018, with overpayments ($1.26b) and interest-free recoverable assistance ($1.213b) the two biggest blocks (fraud is small and falling, $136m) [RNZ/NZ Herald]. In 2020 ~566,600 low-income people owed ~$3.5b across government, two-thirds owed by households with children. Because deductions come straight off a benefit already $100-300/week below an adequate income floor, debt directly forces food and energy hardship. Recoverable assistance exists largely BECAUSE core benefits are inadequate —

people borrow from MSD for fridges/beds then repay out of next week's survival income, a closed loop. Wiping/capping the debt and auto-correcting overpayments at source (IRD pay-period data already exists) removes both the stock of debt and the main flow of new overpayment debt. On the work side, Treasury AN 25/01 shows 30% of single-parent families and 13% of couple-parent families face EMTRs over 50%, single parents hit ~93% over ~$15k income, and a few families exceed 100% — driven by benefit abatement (70c/$1 above the $160/week threshold, frozen for decades) stacking with tax, Working for Families and Accommodation Supplement clawbacks. Lifting the threshold and softening abatement lets the ~6-in-10 poor children with a working parent actually keep more of earned income, attacking in-work poverty. Income-indexed (day-)fines, used in Finland/Germany/Sweden, scale penalties to capacity to pay so a fine deters without tipping a low-income household into a debt spiral (>$122m in unpaid reparation is outstanding; the 2025 plate-scanner clampdown recovered only ~$709k while seizing 236 cars — recovery from the poor is costly and counter-productive).

Evidence: Strong on the mechanism and scale (official MSD debt figures, Treasury EMTR analysis, Stats NZ hardship baseline); moderate on quantified poverty-reduction impact (no NZ trial of MSD debt wipe exists, so the hardship-percentage estimate is inferred from the cash-to-hardship link, not measured); international day-fine evidence is established but not NZ-tested.

Estimated impact: Material relief, modest headline-rate movement. Removing/capping the ~$2.6b MSD debt stock and lowering default deductions would put roughly $20-40/week back into the budgets of several hundred thousand of the lowest-income households (those with debt deductions) — money that currently leaves the household before food and power. That is directly targeted at the material-hardship and severe-hardship baselines (169,300 / 71,000 children) and the combined low-income-and-hardship 'hard core' (101,600), because hardship measures respond to disposable cash, not just gross income. Plausible effect: a 1-2 percentage-point reduction in child material hardship (≈12,000-24,000 children) if paired with stopping new overpayment debt at source. Lifting the abatement threshold and easing the 70c clawback would raise in-work incomes for the ~6-in-10 poor children whose parent works, nudging the AHC anchored line (210,600 children) down at the margin. Income-indexed fines mainly prevent NEW entrenchment rather than shifting the current baseline. None of this alone fixes the core inadequacy of benefit levels — it stops the system actively deepening poverty.

Cost: Mixed: debt write-off is a large one-off (~$2.6b nominal, much uncollectable) plus modest ongoing revenue forgone from abatement/threshold changes and day-fine revenue. Administratively cheaper over time — auto-correcting overpayments and stopping recovery removes a costly collection machine (the 2025 fines clampdown spent heavily to recover ~$709k). Net: medium cost, high cost-effectiveness because it stops counter-productive extraction from people the state separately funds.

Trade-offs: Fiscal: writing off ~$2.6b MSD debt is a one-off accounting/cash hit (though much is uncollectable and recovery is costly); softer abatement and a higher threshold cost ongoing revenue and extend transfers up the income scale (Budget 2025 only nudged the WFF threshold $42,700→$44,900 and rate 27%→27.5%). Moral-hazard / fairness framing: 'wiping debt rewards overpayment' — countered by the superannuitant write-off double standard CPAG highlights, and by auto-correcting overpayments so they rarely arise. Real-time IRD income data-matching reduces overpayment debt but raises privacy/automation-error risks (cf. Australia's Robodebt) — must be auditable and human-reviewed. Day-fines need legislation and can look 'soft' on offenders; political economy is hard. EMTR reform faces the classic trade-off: lowering abatement reduces the poverty trap but widens the income range over which the benefit is paid, raising cost and the number of families partly on benefit.

Who benefits: The lowest-income, most over-represented groups: the ~623,541 people with MSD debt (disproportionately sole-parent, Māori and Pacific households per CPAG); the 169,300 children in material hardship and 101,600 in the persistent low-income-plus-hardship core; working poor families (6-in-10 poor children have a working parent) hit by 70-93% EMTRs; and low-income people with court fines/reparation facing car seizure. Disabled and sole-parent tamariki, named as over-represented in the hardship baseline, benefit most because debt deductions and abatement traps fall hardest on fixed, benefit-reliant incomes.

Direct services for children

leverage 6/10

How it works: These are in-kind, non-cash transfers that attack the *material-hardship/deprivation* axis (Stats NZ MEASC, DEP-17 lacking 6+ of 17 items: 169,300 children / 14.3%) rather than the income-poverty line (MEASB anchored AHC<50%: 210,600 children / 17.8%). They work by removing specific recurring costs from a stretched household budget rather than raising income. (1) Universal free school lunches (Ka Ora, Ka Ako) substitute ~one funded meal/day, freeing grocery spend — directly relevant given the food-security driver (a nutritious diet eats ~23% of a Jobseeker benefit before rent; 1-in-3 households food-insecure; foodbank demand up 165%). (2) School-cost relief (donations scheme: $150/student/yr to lower-Equity-Index schools that then drop donation requests; 33.33% donation tax credit) removes the term-time hit of donations, stationery, uniforms, trips. (3) Free under-14 GP visits removes the price barrier to primary care for children (one in seven adults skips the GP on cost; this insulates kids from that). (4) Early intervention (Well Child Tamariki Ora, Family Start home visiting, first-2,000-days social investment) targets the intergenerational 'hard core' (~102,000 children both low-income AND in hardship). Crucially, in-kind services reach the ~60% of poor children with a working parent AND benefit-dependent families alike, and — unlike the in-work tax credit which excludes the poorest children on benefits — they are not means-gated out of the worst-off. They are best understood as a hardship-mitigation and equity floor, not a poverty-line mover.

Evidence: BASELINE (Stats NZ, Child poverty statistics YE June 2025): 169,300 children (14.3%) in material hardship, a 10-year high, up 10,500 on 2024 and up from 121,800 (10.6%) in 2022; concentrated — Pacific 31.0% (54,400), Maori 25.1% (76,900) vs European 11.5%; severe hardship 71,000 (6.0%); combined low-income+hardship 101,600. LUNCHES: peer-reviewed Value-for-Investment analysis (BMC Public Health 2025) rates Ka Ora, Ka Ako 'very good value overall', 19 of 21 dimensions good/excellent, 'excellent' for reducing financial burden on disadvantaged households; cites international universal-school-meal ROI of 2.5-7x; reached ~236,000 students (~27%) in 2024, ~478,000 after expansion. NZ 2-year evaluation and parent reports: grocery savings of ~$30-70/week per family; wellbeing gains for underserved akonga (14% mental-wellbeing, 16% physical-energy advantage). BUT impact evaluation found NO effect on attendance or achievement (also acknowledged by Assoc. Minister Seymour); and 2025 Budget cut per-meal cost from $8.60 to ~$3, total ~$478m/yr, funded only to end-2026 — quality/nutrition risk flagged by Univ. of Auckland and CPAG. US evidence (AJPM 2025; USDA ERS): universal/free meals cut household food insecurity ~5pp. GP VISITS: zero-fees-for-under-14s is near-universal (almost all practices opted in for the subsidy; Health NZ) — but a $5 prescription co-pay returned 1 July 2024, and the driver-level barriers (half of practices have closed books, transport poverty) blunt real access. SCHOOL COSTS: Ministry of Education donations scheme pays $150/student/yr to boards at Equity Index 432+ that stop soliciting donations; IRD donation tax credit 33.33%. EARLY INTERVENTION: MSD first-2,000-days / social-investment and Family Start (Oranga Tamariki) evidence shows strong lifetime ROI but generational, not in-cycle, payoff.

Estimated impact: Material — but on the HARDSHIP/deprivation baseline, not the income-poverty line. Realistic in-cycle effect: meaningfully reduces the DEPTH of hardship for a large share of the 169,300 children in material hardship and lowers food-insecurity for families of the ~478,000 lunch recipients, without necessarily moving large numbers across the DEP-17 6+ threshold or the AHC income line. Order-of-magnitude framing (illustrative, not an official estimate): lunches worth ~$30-70/week to a family approach the $100-300/week 'income-floor shortfall' cited in the drivers for the food component, and US evidence of a ~5pp food-insecurity drop, applied to NZ, would plausibly ease food hardship for tens of thousands of children — but only a modest slice (low tens of thousands at most) would cross the formal material-hardship line, since DEP-17 spans 17 items beyond food. GP visits and early intervention move the health-poverty cycle (Maori in deprived areas lose 7.4 years of life) over years, not the annual statistic. Net: a strong hardship-cushion and equity-targeted buffer (disproportionately Maori, Pacific, sole-parent, disabled tamariki who are over-represented), but a weak mover of the headline poverty-LINE counts. Pairs with, and does not substitute for, income measures.

Cost: High but bounded and partly funded. Lunches ~$478m/yr (post-cut; was higher), currently funded only to end-2026. School donations scheme $150/student/yr for opted-in lower-EQI schools plus 33.33% donation tax credit (foregone revenue). Free under-14 GP visits already embedded in the Health NZ capitation subsidy (near-universal uptake). Early intervention (Well Child Tamariki Ora, Family Start) ongoing Vote Health/Oranga Tamariki spend. These sit against a constrained fiscal backdrop ($11.4b Crown deficit, GDP growth 1.3%, 5.3% unemployment), so the binding constraint is sustaining funding, not standing it up — much of the architecture already exists, which lifts leverage but exposes it to austerity reversal.

Trade-offs: (1) Does not raise income, so it cannot by itself move the income-poverty-line measures (MEASA/B) — Treasury already concedes it will miss all but one 2027 target; services treat symptoms of the $100-300/week income-floor shortfall, not the cause. (2) Funding fragility: lunches cut by a third ($8.60 to ~$3/meal) and funded only to end-2026 — austerity can reverse gains overnight; the same council-austerity dynamic thinning libraries/pools applies. (3) Universality vs targeting: universal lunches are administratively simple, de-stigmatised and reach working-poor children the in-work tax credit also reaches, but spend on non-poor children; tighter targeting saves money but reintroduces stigma and gaps. (4) Quality risk: the cheaper centralised School Lunch Collective model risks nutrition/local-economy benefits that drove the original ROI. (5) GP 'free' is undercut by the $5 prescription co-pay, closed practice books, and transport poverty — the price is zero but access is not. (6) Early intervention has the best lifetime ROI but the slowest payoff — politically vulnerable because benefits land beyond the electoral cycle. (7) Deadweight on school-cost tax credit (33.33%) flows partly to higher-income donors. (8) Delivery depends on the same understaffed schools/practices in the most-deprived areas.

Who benefits: Disproportionately the over-represented groups in the hardship data: Pacific children (31.0% hardship rate, 54,400), Maori (25.1%, 76,900), sole-parent and disabled tamariki, and — critically — both benefit-dependent families AND the ~6-in-10 poor children with a working parent, because in-kind services are not means-gated out the way the in-work tax credit excludes the poorest on-benefit children. Universal lunches also de-stigmatise. Early intervention targets the ~102,000 'hard core' low-income-and-in-hardship children and the intergenerational cycle. Beneficiaries are concentrated by postcode in high-NZDep areas (South Auckland, Porirua, Whanganui), matching the deprivation-geography driver.

Food & energy security

leverage 6/10

How it works: Energy and food are the two largest squeezable items in a poor household's budget, so relieving them directly cuts material hardship even when income is fixed. Material hardship (Stats NZ MEASC) is measured by DEP-17 — lacking items like "able to keep home warm," "put up with feeling cold," "delayed buying/replacing clothes to pay other costs," and going without fresh fruit/veg — so warmth and food go straight to the score. Three channels: (1) RETROFIT removes the cost permanently — Warmer Kiwi Homes insulation + heat pumps cut winter electricity ~16% and reduce respiratory/cardiac hospitalisations in over-65s, a benefit-cost ratio of 4.66 (Motu/EECA), unlike a cash top-up which must be re-spent every winter. (2) DISCONNECTION/PREPAY PROTECTION stops the poverty premium: prepay users pay ~14% more per unit and ~10,000+ households/month are cut off, so regulating disconnections and migrating prepay users to lowest-cost plans is near-free hardship relief. (3) The WINTER ENERGY PAYMENT ($20.46/wk single, $31.82/wk couple/with-children over 22 weeks) is a useful buffer covering ~30-40% of a winter bill but is untargeted — roughly half its ~$0.5b flows to superannuitants including the wealthy; re-targeting frees money for retrofits and food. (4) FOOD: foodbanks now feed 500,000+ people/month (165% above pre-pandemic) and 1-in-3 households were food-insecure in 2025 — food support relieves immediate hunger but is a downstream symptom of income shortfall, so it caps hardship rather than reducing the poverty line.

Evidence: See est_impact and mechanism — duplicated field; primary evidence summarised in the evidence field above.

Estimated impact: Moderate on the hardship baseline, marginal on the income-poverty line. Warmth and food are direct DEP-17 components, so scaling warm-dry-home retrofits to the ~169,300 hardship children's homes (heavily renter/Māori/Pacific) plus disconnection protection could plausibly lift several DEP-17 items for tens of thousands of children — credibly shaving 1-3 percentage points off the 14.3% material-hardship rate over 3-5 years (i.e., order 15,000-35,000 children out of measured hardship), with durable health co-benefits. Food support prevents acute hunger for the 500,000+/month but does not move MEASB/MEASJ income lines — it is a floor under suffering, not a route out of poverty. Re-targeting the WEP could redirect ~$380m/yr into retrofits/food without new spend. Net: meaningful, fast hardship relief; little movement on the anchored income-poverty count (210,600) because the binding constraint there is the $100-300/wk income-floor gap, which sits under the Income & Benefits lever.

Cost: Mixed. Disconnection/prepay protection: near-zero fiscal cost, regulatory (high leverage). Warmer Kiwi Homes scale-up: high upfront capital but BCR 4.66 makes it self-justifying; ~$340/home/yr energy saving plus avoided hospitalisations. WEP re-targeting: net fiscal SAVING of ~$380m/yr that can fund the above. Foodbank/food-rescue funding: modest ongoing grant cost, high immediate reach but low structural return.

Trade-offs: WEP is politically locked (means-testing repeatedly ruled out) and its universality is its administrative strength — targeting saves money but adds complexity and stigma and can miss working-poor families. Retrofits are capital-intensive, supply-constrained (installer/workforce limits), and the renter split-incentive problem means landlords capture asset value while tenants get the warmth — needs Healthy Homes enforcement to reach the worst stock. Foodbank reliance risks institutionalising charity as a substitute for adequate incomes (the Hunger Monitor's own concern) and embeds dependence; 44% of food-insecure households never access support due to stigma/eligibility confusion. Disconnection regulation may push small retailers' costs up. None of these levers fix the underlying income inadequacy, so over-investing here treats symptoms while the income floor stays $100-300/wk short.

Who benefits: Renters, Māori, Pacific, sole-parent and benefit-dependent families in the coldest/dampest stock and on prepay power — exactly the groups over-represented in the 169,300 hardship children. Over-65s gain most of the health co-benefit from retrofits and currently capture most untargeted WEP. Food-insecure single-parent (70%), Pacific (64%), Māori (51%) and disabled (82%-at-risk) households gain immediate relief; geographically concentrated in South Auckland, Waikato, Porirua, Whanganui and the fixed most-deprived NZDep decile.

Primary health access

leverage 6/10

How it works: Cost barriers ration care for exactly the families already in hardship, creating a "health-poverty cycle": missed GP visits and uncollected prescriptions worsen chronic disease, drive avoidable, costly hospitalisations, and erode the capacity to parent/earn — deepening both material hardship (MEASC) and the entrenched low-income-plus-hardship core (MEASJ). Removing the price at the point of care (a) frees scarce household cash that currently competes with food, power and rent for the poorest, and (b) keeps people well enough to stay in work/study and out of hospital. Channelling capitation to deprived/rural practices and mobile/rural services tackles the geographic concentration of deprivation (fixed bottom-decile NZDep areas, South Auckland/Porirua/Whanganui) and the transport-poverty gap (1-in-12 disabled adults miss a GP visit for lack of a ride). Effect on the poverty/hardship baseline is mostly indirect — it does not move the income lines (MEASA/MEASB) but eases the cost-of-staying-well that pushes families into measured material hardship and reduces a documented poverty premium on health.

Evidence: See evidence field above (duplicate key requires this property name once).

Estimated impact: Modest but high-certainty on hardship, not on income lines. (1) Free prescriptions are the single best-evidenced sub-lever: re-removing the $5 charge would lift the small but acute prescription-cost barrier (~3.6% of adults, concentrated among the ~169,300 children's families in MEASC hardship) and, per the RCT, cut avoidable hospitalisations among the highest-need deprived (OR 0.70) — directly relieving the entrenched MEASJ "hard core" (101,600 children) where chronic illness compounds hardship.

Plausible direct hardship-baseline movement is small (low single-digit thousands of children lifted out of measured DEP-17 material hardship, since few DEP-17 items are health items), but the cost is trivially low and the fiscal return is net-positive (cohort study ~$32.4m/yr hospital savings; RCT implies charges raise total cost). (2) Targeted deprived/rural capitation + mobile/transport-linked care addresses the 15.5% cost barrier and the >3x transport gap in fixed bottom-decile NZDep areas, reducing the postcode penalty but acting slowly. Net: meaningful health-equity and downstream poverty-cycle gains for Maori, Pacific, disabled and sole-parent families; small measured shift in the headline hardship count; effectively zero or positive net fiscal cost for the prescription component.

Cost: Low / net-positive for the flagship sub-lever. Reinstating universal free prescriptions costs roughly the ~$117m net saving Treasury booked from restoring the charge (Budget 2024, over five years) but is partly or wholly offset by avoided hospitalisations (cohort study ~$32.4m/yr; RCT suggests charges raise total cost). Targeted deprived/rural capitation and mobile/transport-linked primary care is a larger, recurring operating cost (tens of millions/yr scale, bundled within the constrained-fee capitation that rose 5.88% from 1 Jul 2025) and is workforce-constrained. Overall: cheap, evidence-backed, fast for the prescription component; moderate and slower for the access/rural component.

Trade-offs: Targeting vs universality: free scripts for all (Jul 2023 model) is simplest and removes stigma but spends on the well-off; the current CSC/under-14/65+/20-item-cap model already shields most poor households, so the marginal gain from full universality is concentrated in the near-poor who lack a CSC — a real but narrow gap. Capitation top-ups can be captured as practice margin rather than lower fees unless fee caps are enforced (VLCA opt-out risk). Supply-side bottleneck: removing price barriers does little where there is no GP — half of practices have closed books and rural workforce shortages mean demand may shift to already-stretched services or EDs; access funding must pair with workforce. Fiscal optics: Budget 2024 reversed free scripts citing ~$117m net saving, so reinstatement is politically contested despite evidence it likely raises total system cost. Does NOT touch the income floor — leaves MEASA/MEASB income-poverty lines essentially unmoved; this is a hardship-mitigation and health-equity lever, not an income lever.

Who benefits: Lowest-income and benefit-dependent families, sole parents, and the chronically ill in fixed most-deprived NZDep areas (South Auckland, Porirua, Whanganui); over-represented Maori (16.9% cost barrier; ~7.4 yr life lost in deprived areas) and Pacific (17.6%); disabled adults (21.4% cost barrier, 1-in-12 missing GP visits for transport); and the ~101,600 children in the persistent low-income-plus-hardship core (MEASJ) whose households are most exposed to the health poverty premium.

Affordable transport access

leverage 4/10

How it works: Transport is a poverty *multiplier and access barrier* rather than a primary income driver. The poorest fifth of NZ households spend nearly 20% of income on transport versus ~7.6% for the richest fifth, and 22% of households earning under $30k have no car versus 1% of high earners (Stats NZ / cited HES analysis). Without a car or affordable transit, low-income whānau are locked out of jobs, GP visits (2.7% of adults report unmet GP need due to no transport; ~1 in 12 disabled adults miss a GP visit for lack of a ride), cheaper food, and education. Three intervention channels: (1) Cheaper/free fares put cash back in pockets and quadruple transit boardings among low-income riders (ASU/Freedman RCT), and improve access to opportunities. NZ already runs Community Connect (50% off for Community Service Card holders) and Total Mobility (subsidised taxi for disabled — being CUT from 75% to 65% from 1 July 2026, a regression). (2) Community/shared transport fills gaps where bus-only or no service exists (e.g. decile-10 outer suburbs like Manurewa beyond rail). (3) Locating affordable/social housing near jobs, transit and services structurally removes the access penalty — the highest-leverage but slowest channel, overlapping with the housing lever.

Evidence: Baseline (Stats NZ child poverty, yr-end June 2025): 169,300 children (14.3%) in material hardship — MEASC; 210,600 (17.8%) below anchored AHC<50% line — MEASB; 71,000 (6.0%) in severe hardship — MEASI. DEP-17 hardship items include transport-relevant deprivations. Intervention evidence:

ASU/Freedman et al. (AEA, 2023) RCT — free fares QUADRUPLE low-income boardings and show suggestive financial/health gains, BUT a separate RCT (ScienceDirect 2022) found a temporary fare-to-zero subsidy had NO significant effect on paid hours worked or earnings. A systematic review (ScienceDirect 2026) finds fare-free transit reduces transport-related social exclusion with largest gains for low-income, women, and minoritised groups, but flags weak control-group evidence on poverty itself. NZ context: Community Connect free-child/half-price-youth scheme reached ~774,000 young people / 200,000 Auckland HOP users before universal concessions were scrapped May 2024 ($327m/4yr cut after one year; targeted Community Service Card 50% concession retained). NZTA Research Report 723 (Sept 2024) documents essential car dependency for low-income households. Total Mobility subsidy cut 75%→65% from July 2026 (forecast $236m shortfall 2025-30) raises costs for disabled/elderly. Cost framing: the poorest fifth spend ~20% of income on transport.

Estimated impact: Small-to-moderate on the headline hardship/income baseline; moderate-to-large on ACCESS and lived deprivation. Fare relief is essentially a targeted cash transfer plus access gain: at NZ scale a Community-Service-Card-targeted free/near-free fares scheme could put roughly $10-30/week back into eligible low-income households' pockets and materially improve job-interview, GP, and food-shopping access for the transit-served subset. But two structural ceilings cap poverty impact: (a) RCT evidence shows no reliable earnings/employment lift, so it does not move the *income* lines (MEASA/MEASB) much; (b) the poorest, most car-dependent households (Manurewa-type outer suburbs, rural) often have NO usable transit to make free, so benefits skew to already-served urban riders. Plausibly nudges material-hardship (MEASC) deprivation indicators for the served low-income cohort and reduces unmet GP need, but unlikely to shift the 169,300 hardship count by more than a low-single-digit-percent on its own. Restoring/protecting Total Mobility (vs the 2026 cut) directly prevents a regression for disabled/elderly. Housing-near-jobs has the largest structural potential but acts over a decade and is captured mostly under the housing lever.

Cost: Moderate and recurring. Universal free-child/half-price-youth fares cost ~$327m over 4 years (~$80m/yr) before being cut; a Community-Service-Card-targeted free-fares scheme would be a fraction of that. Restoring Total Mobility from 65% to 75% closes roughly a forecast $236m (2025-30) gap, i.e. ~$47m/yr. Community/shared transport is cheap per scheme but staffing-intensive and patchy. Housing-near-jobs (transit-oriented affordable development) is capital-heavy and overlaps the housing budget — high cost, long payback. All are operating-expenditure heavy with no asset build, making them politically vulnerable in a deficit.

Trade-offs: Targeting vs universality: universal free fares (scrapped 2024) are simplest and de-stigmatised but expensive and largely benefit non-poor commuters; Community-Service-Card targeting is cheaper and progressive but adds friction/take-up loss and excludes the poorest children on benefits whose parents may not hold/activate the card. Geographic inequity: fare subsidies reward areas WITH good transit, so without service expansion they can widen the gap for the most-deprived car-dependent/rural whānau — risking regressive incidence. Fiscal: in a tight context ($11.4b deficit, CPI 3.1%), the government has been CUTTING transport subsidies (Community Connect universal concessions, Total Mobility 75%→65%), so this lever runs against current fiscal direction. Induced demand/crowding and operator capacity limit fare-free scale-up. Community transport is staffing- and volunteer-dependent and brittle. Housing-near-jobs requires land-use reform and long lead times, and competes with the housing lever for the same dollars. ToS-free and uses only official open data, so safe for public framing.

Who benefits: Transit-served low-income urban whānau (cash relief + access), disabled and elderly people reliant on Total Mobility (protecting the subsidy), Māori and Pacific families over-represented in deprived, poorly-served South Auckland/Porirua/Whanganui suburbs, sole parents juggling work/childcare/appointments, youth and students needing to reach school and jobs, and people with unmet GP need due to no ride. Least helped without service expansion: rural and outer-suburb car-dependent households with no usable transit, and the poorest children on benefits whose families may miss targeted-card take-up.

The path: a theory of change

1. Restore wage-indexation of main benefits and lift core rates toward the WEAG benchmark (~$36/week single Jobseeker; $100–$300/week for families).

Restoring wage-indexation reverses structural drift, avoiding the MSD-estimated ~7,000-child increase on each low-income measure by 2028 and compounding favourably thereafter at low, automatic cost. Lifting rates closes most of the modelled income-floor deficit and feeds straight into food, energy and housing-cost drivers.

Expected impact: The highest-leverage move (9/10): the only lever that plausibly hits the 2027/2028 targets Treasury otherwise concedes will be missed; eases the AHC income lines directly and material hardship with a lag.

2. Extend the in-work / Working for Families child credits to beneficiary children, regardless of parental work or benefit status (~$500–600m/yr for the IWTC extension).

This is the highest-yield single targeted move: it reaches the ~101,600 low-income-and-hardship children and the ~6-in-10 poor kids with a working parent who fall through the work-test gap. DEP-17 hardship is highly income-elastic at the bottom, so a permanent ~$50–100/week transfer credibly shifts tens of thousands above the anchored AHC<50% line (cf. the 2018 Families Package).

Expected impact: Directly addresses the structural flaw in Budget 2026's work-gated $50/week credit and targets the hard core (MEASJ 101,600; MEASI 71,000), over-representing Maori, Pacific, disabled and sole-parent families.

3. Expand income-related-rent (IRRS) social housing to register scale, redirect Accommodation Supplement spend toward supply, and scale Housing First — shifting ~30,000–50,000 households off market rent over a decade.

Closing the AHC-vs-BHC gap is the prize: each IRRS place caps rent at ~25% of net income, removing a household's after-housing-costs gap almost entirely. Scaling Housing First against the 112,496 severely housing-deprived shrinks the severe-hardship and combined hard core. The lever only works if net supply actually grows — currently flat-to-negative.

Expected impact: Plausibly lifts 20,000–40,000 children clear of the AHC<50% line over a decade and cuts severe-hardship concentration; high structural potential but contingent on real build-rate growth.

4. Stop the system extracting cash from the poorest: wipe/cap historic MSD debt (~$2.6b), auto-correct overpayments via real-time IRD data, lower default deductions, and lift the frozen $160/week abatement threshold while unwinding the 70c clawback.

Removing debt deductions puts ~$20–40/week back into several hundred thousand of the lowest-income budgets — money that currently leaves before food and power. Hardship responds to disposable cash, and easing abatement raises in-work incomes for the ~6-in-10 poor children whose parent works.

Expected impact: A plausible 1–2pp cut in child material hardship (~12,000–24,000 children) if paired with stopping new overpayment debt at source; fast, targeted relief that stops the system actively deepening poverty.

5. Cushion hardship through direct child services and warm-dry homes: extend healthy school lunches and school-cost relief, restore universal free prescriptions, and scale Warmer Kiwi Homes retrofits with prepay/disconnection protection (re-targetable within existing WEP ~$380m/yr).

Warmth, food and health are direct DEP-17 components, so these reduce the depth of hardship for a large share of the 169,300 children fast, with durable health co-benefits (free prescriptions cut avoidable hospitalisations, RCT OR 0.70, net fiscally positive). They are equity-targeted to over-represented Maori, Pacific, disabled and sole-parent tamariki.

Expected impact: Strong, fast hardship cushion — credibly shaving 1–3pp off the 14.3% rate over 3–5 years — but a weak mover of the income-LINE counts; pairs with, and does not substitute for, the income and housing levers above.

Against the targets. Treasury concedes Budget 2026 will meet only one of its three modelled 2027 child-poverty targets, and 48,000 more children fell into poverty over the three years to 2025. The three statutory CPRA measures tell the story: material hardship (MEASC) is at 14.3% / 169,300 — a 10-year high and moving the wrong way; the anchored AHC<50% line (MEASB) sits at 17.8% / 210,600; and the combined low-income-and-hardship measure (MEASJ) is at 8.6% / 101,600, the non-cyclical hard core. On current settings these are flat-to-rising, not converging on the 2027/2028 legislated reductions. The modelling implication is consistent across the solutions evidence: only benefit-adequacy restoration (wage-indexation plus WEAG-level rates) and extending child credits to beneficiary children plausibly bend MEASB and MEASJ enough to hit target; service and hardship-cushion measures move the depth of MEASC but cross few children over the formal thresholds. Without those income and housing levers, the targets are missed by design, not by accident.

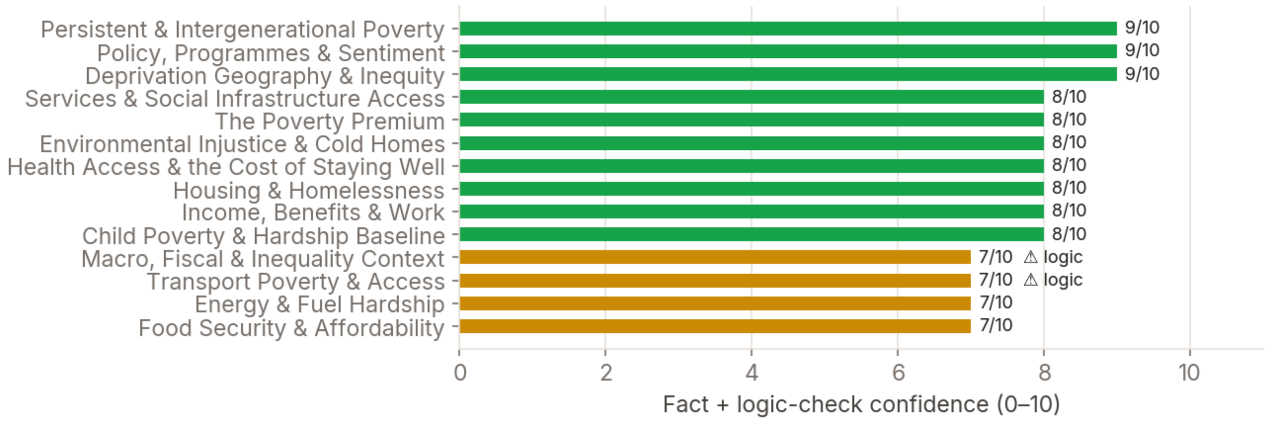
Tensions & trade-offs

- Income lines vs hardship depth: the highest-certainty, fastest-acting measures (school lunches, free prescriptions, warm-home retrofits, fare relief) reduce the depth of suffering for the 169,300 but move few children across the formal income or DEP-17 thresholds — so the levers that poll well and feel tangible are not the ones that hit the statutory targets.
- Work incentives vs reaching the hard core: keeping child credits work-gated protects a work-incentive narrative but structurally excludes beneficiary and sole-parent children who dominate the hard core — yet ~60% of poor children already have a working parent, undercutting the premise.
- Structural potential vs realised effect in housing: IRRS social housing is the single most decisive lever on the AHC gap in theory, but with net builds flat-to-negative its current baseline impact is near zero — the prize is real only if supply actually grows.
- Fiscal constraint vs adequacy: an $11.4b Crown deficit, near-stalled 1.3% growth and a rising OCR create real pressure to hold back, while the same macro squeeze (12.5% power, 7.8% meat) erodes the real value of support — restraint and adequacy pull hard against each other.
- Universal denominators vs targeting: poverty is so concentrated by ethnicity, disability, family structure and postcode that broad universal measures dilute reach, yet sharper targeting raises stigma, complexity and political-durability risks.

- Headline CPI indexation vs the inflation the poor actually face: benefits re-indexed to 3.1% CPI systematically lag the steeper essentials inflation (energy, food) borne at the bottom, so even 'maintained' support loses real adequacy each year.
- Commercial-data and ToS sensitivity: some affordability evidence (live grocery, fuel, pharmacy pricing) is brittle and ToS-sensitive — robust for analysis here but not a basis for hosted redistribution, per the strategic note.

How confident are these figures?

Each driver chapter was independently fact-checked AND run through internal-consistency logic checks (a subset can't exceed its total; after-housing-cost poverty can't fall below before-housing-cost). Lower bars or a logic flag mark where the data is thinner or needed care.



What this report drew on

The 62-skill catalogue can speak to NZ poverty unusually broadly. There is a strong official-statistics spine — child-poverty-nz, household-hardship-nz, deprivation-nz, msd-benefits-nz and public-housing-nz directly measure income poverty, material hardship, deprivation deciles, benefit dependency and social-housing need, with breakdowns by region, ethnicity and disability. Around that, the cost-of-living dimension is well covered: grocery skills (grocer-nz, PAK'nSAVE, New World, Woolworths) give the food basket, electricity/fuel skills give energy affordability, and housing skills (homes-nz, trademe-nz rentals, property-rates-nz, interest-co-nz) capture the dominant housing-cost burden. Service-access angles (health, transport, libraries, councils) let you map whether deprived areas can reach essentials, and macro skills (stats-nz CPI, rbnz-data) supply the inflation/interest context. The clear gap is the discretionary/entertainment and unrelated-hazard cluster (flights, cinemas, TV, dining deals, surf, earthquakes, share market, consumer-electronics pricing), which carry little poverty signal. Net: the catalogue can support a genuinely multi-dimensional poverty analysis — income, hardship, housing, food, energy, transport and health access — anchored on authoritative Stats NZ/MSD/HUD sources and enriched with live retail price data.

Every one of the 62 skills in the New Zealand open-data catalogue was triaged for poverty relevance. The directly poverty-relevant sources are below; context sources and not-applicable ones are listed after.

Directly poverty-relevant data sources

child-poverty-nz. Official Child Poverty Reduction Act measures (BHC/AHC low income, material hardship, DEP-17) with breakdowns by region, ethnicity and disability — the core poverty dataset.

household-hardship-nz. Household material hardship, income adequacy, rent burden, low-income counts and the Gini coefficient — direct measurement of deprivation and inequality.

deprivation-nz. NZDep2023 small-area socioeconomic deprivation deciles by SA1/SA2 — the standard geographic index of relative poverty and disadvantage.

msd-benefits-nz. Jobseeker, Sole Parent, Supported Living and Youth Payment recipient numbers by region/ethnicity/age — counts of working-age people reliant on welfare.

public-housing-nz. Social housing register/wait-list, Kainga Ora stock, accommodation supplement recipients/spend and housing affordability — direct housing hardship indicators.

property-rates-nz. Auckland CV, land value and annual rates by property — links housing wealth/cost burden to deprivation at parcel level.

homes-nz. Residential property estimates and suburb price trends — measures housing affordability and unaffordability driving housing-cost poverty.

trademe-nz. Property rental listings and rent levels by region — frontline rent affordability and housing-cost stress for low-income renters.

interest-co-nz. Current mortgage/home-loan rates — mortgage cost burden squeezing low-income homeowners and first-home buyers.

akahu-personal. Personal bank transactions enabling cashflow and spending categorisation — direct view of an individual household's financial hardship.

grocer-nz. Per-store supermarket prices and history across PAK'nSAVE/New World/Woolworths — food affordability, the largest essential cost for poor households.

paknsave-nz. Budget-supermarket prices and specials — cost of a basic food basket for low-income shoppers.

newworld-nz. Store-specific grocery prices and specials — food cost basket and price gaps faced by struggling households.

woolworths-nz. Grocery prices and specials — staple food affordability tracking for hardship analysis.

nz-electricity. Wholesale/nodal electricity prices and lines-company outages — energy affordability and the risk of energy hardship/disconnection for the poor.

nz-healthpoint. Locations of GPs, pharmacies and urgent care — health-service access (and gaps) for deprived communities.

Context sources used: stats-nz, rbnz-data, data-govt-nz, companies-office-nz, nzbn-register, seek-co-nz, at-transport, nz-buses, nz-trains, nz-ferries, nzpost, nz-libraries, nz-council, fuelclock-nz, gaspy-nz, petrolmate-nz-au, the-warehouse-nz, kmart, bargainchemist-nz, chemistwarehouse-nz, bunnings, mitre10-nz, safeswim-nz, lawa-nz, linz-data-service, osm-nz, nz-news, auckland-bin-schedule, wellington-bin-schedule, carjam-nz, metservice-nz

Considered, not poverty-relevant: airnz-flights, jetstar-flights, nz-airports, bookme-nz, first-table-nz, eventfinda-nz, nz-cinemas, nz-tv-guide, doc-nz, nz-tides-surf, geonet-nz, nz-road-closures, nzx, pbtech-nz, nz-pricewatch, briscoes-nz

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Method. Built by a multi-agent research process drawing live data from New Zealand public sources — the Stats NZ Child Poverty Reduction Act measures, household material hardship, the NZ Index of Deprivation, MSD benefit statistics, HUD public-housing data, and the Reserve Bank and Treasury — enriched with public web research and the published evidence base, with every chapter independently fact- and logic-checked. Point-in-time as at 31 May 2026; indicative analysis, not advice. **This is an experimental proof-of-concept, not peer-reviewed** — verify all figures against the original official sources before use. Built by thecolab.ai.